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8
9 **UNITED STATES DISTRICT COURT**
10 **SOUTHERN DISTRICT OF CALIFORNIA**

11 UNITED STATES OF AMERICA,

12 Plaintiff,

13 v.

14 DUNCAN D. HUNTER (1),

15 Defendant.
16

Case No. 18CR3677-W

SENTENCING MEMORANDUM

Date: March 17, 2020

Time: 9:00am

17 **I.**

18 **INTRODUCTION**

19 In mounting his defense to the present charges, Defendant Duncan D. Hunter
20 (“Hunter”) launched an improper, wide-ranging, and dangerous assault on our system of
21 justice. As part of a disingenuous attempt to deflect attention from his own criminal
22 conduct, Hunter repeatedly attacked this nation’s very system of government, including
23 Congress, the FBI, the Department of Justice, the justice system in general, and individual
24 federal prosecutors in particular. *See infra* at III (C)(3). Although it might be tempting for
25 the Court to simply dismiss Hunter’s wild accusations of a deep state conspiracy as the
26 rantings of a desperate politician caught in his own web of lies, these dangerous claims
27 should not be ignored or overlooked.
28

1 Rather than admit his guilt and resign his seat in April 2016 when originally
2 questioned, or even in August 2018 when originally charged, Hunter chose to use his “deep
3 state” conspiracy trope to mislead the more than 700,000 people who reside in the 50th
4 congressional district. As we now know, Hunter lied to the people about his guilt. Not
5 once, but countless times. In doing so, he used his dangerous conspiracy theory to con
6 voters into electing a soon-to-be-convict. As a result of his duplicity, the voters were
7 robbed of their right to representation in Congress—representation they are denied to this
8 day.

9 Our very democracy is at risk when criminals like Hunter win elections by
10 weaponizing the tropes of fake news and the deep state. This is not a mere philosophical
11 debate in the 50th Congressional district; it is a fact. Hunter’s false narrative about being
12 an innocent politician framed by a deep state Justice Department and a crooked media did,
13 in fact, sway his 2018 re-election to Congress. This reason alone supports the United States
14 recommendation that Hunter be sentenced to 14 months in custody – the top of the adjusted
15 post-departures guidelines range.¹

16 II.

17 STATEMENT OF FACTS

18 A. Introduction

19 Despite coming from a privileged background and serving in Congress for almost a
20 decade, Duncan Hunter was virtually penniless. His family finances teetered constantly on
21

22 ¹ Given this background – and the need for the Court to understand the full extent of
23 Hunter’s speculation – the United States sets forth in this Sentencing Memorandum some
24 of the evidence demonstrating that Hunter: (i) personally stole many tens of thousands of
25 dollars in campaign funds beginning the moment he issued himself a credit card in January
26 2010; (ii) both condoned and enabled his wife’s commission of similar thefts that were
27 executed for their shared benefit; and (iii) deflected blame onto his wife and family for
28 these crimes. Hunter’s crime was neither an inadvertent mistake by a busy congressman
occupied with the business of the nation, nor some type of excusable omission in
supervising a spouse entrusted with the family’s finances. To the contrary – it was
intentional, extensive, and premeditated.

1 an impecunious abyss. He and his wife Margaret Hunter possessed no liquid assets, no
2 investment funds, and no savings. *See* House Financial Disclosure Forms (2010 – 2016).
3 His credit cards were maxed out with five-figure negative balances. Between April 2009
4 and August 2016, the Hunters carried maximum negative balances on their USAA credit
5 card (between \$9,000 and \$10,000) and their Discover Card credit card (between \$7,500
6 and \$10,000). They carried additional negative balances on a number of other consumer
7 credit cards.

8 The Hunter family had very little equity in their former Alpine home and frequently
9 missed mortgage payments.² They overdrew their primary family bank account more than
10 one thousand times in roughly this same seven-year period, racking up more than \$38,000
11 in “overdraft” and “insufficient funds” fees alone. In 2015, they fell behind more than
12 \$15,000 in tuition payments to their children’s private school in spite of their 50% tuition
13 discount. The Hunters were well aware that they were unable to timely pay for their
14 children’s Irish dance lessons, dental bills, and school lunches. *See* Exhibits 1-2. Their
15 financial problems were all the more startling given that on around 139 separate occasions
16 they received a total of nearly \$175,000 in loans and gifts from his parents. *See* Exhibit 3.

17 Nevertheless, the Hunter family lived a profligate lifestyle leading to continual debt
18 and an ever-increasing need to find cash to pay bills. In order to support their spending
19 and pay their outstanding bills, the Hunters turned to pilfering hundreds of thousands of
20 dollars donated by citizens to finance Hunter’s Congressional campaigns. Beginning as
21 early as 2009, the Hunters used campaign funds to purchase items as inconsequential as
22 fast food, movie tickets, and golf outings; as trivial as video games, beachwear, and coffee;

24 ² The Hunters formerly owned a home at 1125 South Grade Road, Alpine,
25 California, but had little or even negative equity in the residence. They purchased this
26 property in July 2009 for \$595,000, using two mortgages totaling approximately \$567,000.
27 The minimal down payment of approximately 5% appears to have been provided by
28 Hunter’s parents. After purchasing the home, the Hunters were continually late making
mortgage payments and incurred various late fees.

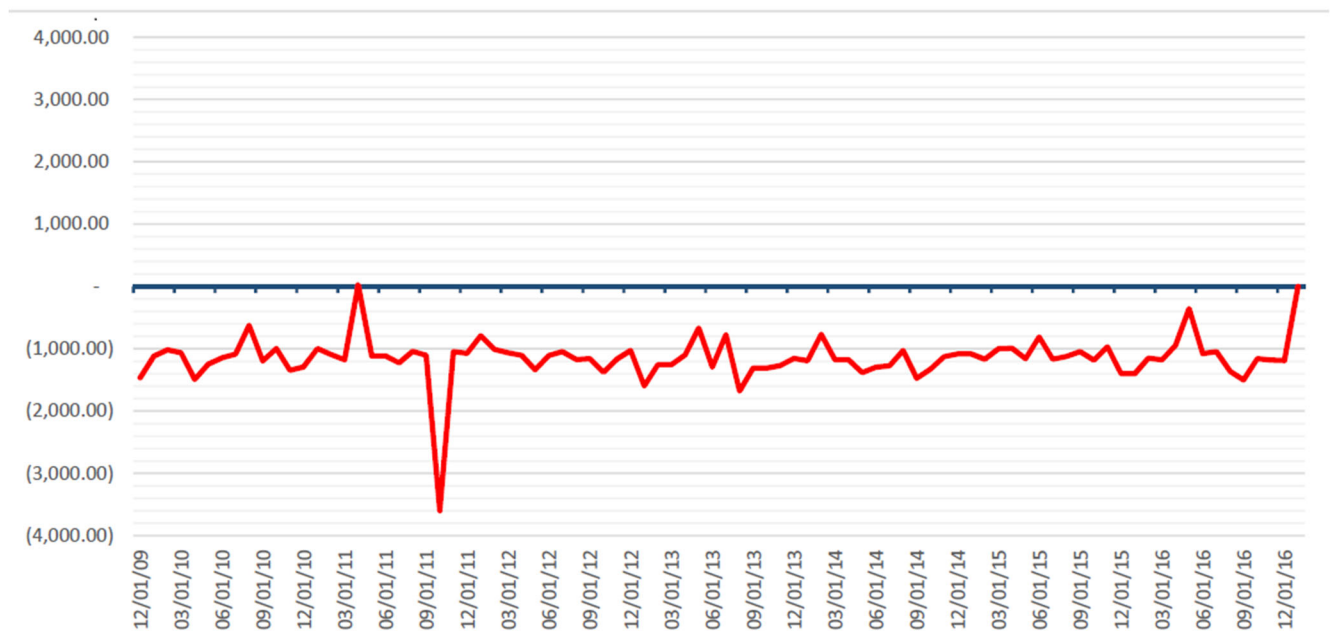
1 as mundane as groceries, utilities, and garage doors; and as self-indulgent as luxury hotels,
2 overseas vacations, and designer face cream. In total, they plundered \$250,000 in
3 campaign funds to sustain their needs. To conceal the theft, the Hunters gave false or
4 misleading explanations for many of their expenses, including in mandatory public
5 disclosures.

6 B. Hunter's Knowledge of his Personal Finances

7 Hunter was all too well aware of his family's dismal financial state. Indeed, he made
8 no secret of his shocking lack of personal funds when talking with many of his close friends
9 and confidants. For example, Hunter's field representative and San Diego area driver (who
10 was a lifelong Hunter family friend who considered the Congressman to be like a son)
11 recalled that Hunter's financial problems were so dire that Hunter had to check his account
12 balance before he could buy a bottle of water. His driver also related that Hunter's parents
13 had to regularly supplement his income with regular \$1,000 payments, private school
14 tuition, extra funds for basic needs such as car repairs, and even money for clothing.

15 Joe Kasper (a close friend and Congressional staffer of Hunter's who became Chief
16 of Staff in 2015), noticed Hunter's financial problems as soon as Hunter assumed office.
17 According to Kasper, as far back as 2009, Hunter had to check with Margaret to ask
18 whether they had enough money for him to buy a pair of nail clippers. In fact, Kasper
19 noticed that Hunter needed to call Margaret and ask for permission before making
20 purchases of any kind. Over the years, Kasper noticed this trouble in similar ways: Hunter
21 did not have enough money to buy cigarettes, new shoes, clothes, tires for his car, or even
22 for basic "personal hygiene items that everybody needs." See Exhibit 4 (Kasper Grand
23 Jury Transcript ("GJT") at XX). Kasper noticed that Hunter's credit card was declined
24 from time to time. Toward the end of the month, when Hunter's paycheck was stretched
25 thin (Congress makes payroll once a month), Kasper would often "just swallow the cost"
26 and pay for Hunter's cigarettes and dry cleaning.

1 There was, in fact, not a single month between 2009 and 2017 when the Hunter
2 family bank account had a positive balance throughout the month:



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13 **Monthly Low Balance Chart**

14 Indeed, Hunter embodied the very definition of living paycheck to paycheck. And,
15 even given the regularity of his substantial paycheck and supplements from his parents, not
16 a month passed where his bank balance did not dip precipitously into negative territory.
17 Given this stark reality, it is easy to see why Hunter had to check with his wife to make
18 even the most basic purchases, if he were using their personal—and not campaign—funds.
19 More importantly, it is also easy to see why Hunter would know that the only way he could
20 afford to pay for basic family living expenses, lavish meals, and luxury vacations was to
21 use campaign funds. Obviously, if Hunter did not have funds to buy a \$7 pack of cigarettes
22 in any given month, he certainly did not have the personal funds to afford private schools,
23 overseas vacations, or fancy meals.

24 C. Hunter's Knowledge of Improper Use of Campaign Funds

25 Even before he was elected to Congress, Hunter was instructed as to the importance
26 of filing accurate FEC reports by his trusted first Treasurer, Bruce Young. Young was a
27 San Diego businessman who agreed to act as Duncan L. Hunter's Treasurer on a volunteer
28

1 basis for more than 16 years. In 2007, when Hunter announced his run for his father's old
2 seat, Young took on the role of Treasurer of the Duncan D. Hunter Campaign. He worked
3 for the younger Hunter for approximately six years until early 2013.

4 Young was responsible for preparing and filing the quarterly reports with the FEC.
5 These reports—available to the public on the FEC's website—detailed campaign
6 contributions, spending, and the total cash on hand available to the campaign. The
7 campaign's core staff all understood that the FEC reports could be subject to a great deal
8 of media scrutiny. According to Young, Hunter was very engaged in the financial aspect
9 of the campaign. He hated to raise money and was therefore focused on keeping costs
10 down (as opposed to raising more funds) in order to increase the campaign's cash on hand.

11 Young kept the staff, including Hunter, apprised of their financial situation regularly.
12 On April 4, 2008, for example, he circulated the draft accounting numbers for the first
13 quarter of 2008, which showed about \$273,000 cash on hand—but, he warned, they had
14 outstanding bills that would bring the real figure down to about \$200,000. Hunter was
15 paying attention. He responded, "I'd like to go over all the expenditures... I just want to
16 wrap my mind around our outflow." *See Exhibit 5.* Young recalled that they spoke, and
17 that Hunter "wanted to make sure he had a handle on the ways the campaign was spending
18 its cash on hand." *See Exhibit 6 (Young GJT at 28).*

19 Hunter prevailed in the general election in November 2008. Even after his solid
20 victory, he remained concerned about the campaign's finances. Shortly after the election,
21 Hunter told the campaign's fundraiser (Sheila Hardison) that he planned to cut her salary
22 because he thought the campaign was paying her too much in relation to her fundraising.
23 Hardison was surprised, and countered that she would rather resign. Young, however,
24 encouraged her to stay with the campaign and offered to talk with Hunter on her behalf.
25 Young eventually convinced Hunter to change Hardison's salary from a flat \$5,000 per
26 month to a commission-based system using a percentage of her fundraising. Regardless of
27 the merits of their dispute, it was clear that right from the very start of his first term, Hunter
28 had his eyes carefully trained on campaign spending.

1 D. Hunter's First Term (January 2009 – December 2010)

2 1. Hunter's Improper Use of Campaign Funds

3 In January 2009, Hunter was sworn in to his first term in the House of
4 Representatives. He remained engaged in the campaign's finances, and recognized that to
5 improve his standing in Washington he had to use his campaign funds to benefit both his
6 party and other candidates. Young was aware of this dynamic. On February 20, 2009, he
7 emailed Hunter to warn him that the campaign faced a negative cash balance. At the time,
8 Young indicated that Hunter was focused on cost-cutting; Hunter's concern was: "What
9 are we spending all this money for?" *See* Exhibit 6 (Young GJT at 40). As this shows,
10 Hunter from the beginning was "focused on the costs [of running a campaign]." *Id.* This
11 view was echoed by his first Chief of Staff (Victoria Middleton) who indicated that Hunter
12 "would monitor issues with [the campaign's] cash flow and spending to make sure
13 everything was on the right track." *See* Exhibit 7 (Middleton GJT at 20).

14 From the very beginning of his time as a Representative, Hunter's desire to maintain
15 adequate cash-on-hand came into conflict with his family's pecuniary failings, and Hunter
16 soon began dipping into campaign funds to finance the most minor of purchases. For
17 example, on October 19, 2009 (when his personal account had a negative balance), he used
18 his personal iTunes account to buy a popular Feist song, a Scrabble app, "Tap Tap
19 Revenge," and a football game app. Even though the purchase totaled just \$7.96, Hunter
20 claimed that the purchase was a legitimate campaign expense and asked Young to "get the
21 reimbursement to Marge as soon as possible." *See* Exhibit 8.

22 Soon after demanding this reimbursement to his personal account, Hunter instructed
23 Young to open a credit card account, with cards for himself and Margaret. Although this
24 required Young to place his own credit on the line, he complied with the request—which
25 he believed was necessary to help Hunter pay for (what he believed were necessary,
26 appropriate, campaign-related) travel expenses.

27 As a new Congressman, Hunter instantly became part of Washington's elite. Along
28 with a number of other young Congressmen, Hunter was invited to parties practically every

1 evening that Congress was in session. In April 2009, he met a young woman with whom
2 he soon began a romantic relationship. Although they were both careful to keep this
3 relationship secret to all but their closest friends, their relationship grew “serious,” and
4 Hunter soon began living at her house in the D.C. area.

5 In January 2010, Hunter and his new girlfriend arranged for a romantic weekend
6 together in Lake Tahoe, utilizing a convention in Reno as cover. *See* Exhibit 9. On Friday,
7 January 22, 2010, Hunter flew into Reno (arriving at 2:10pm), rented a car, made a brief
8 appearance at the convention, and then drove to the Hyatt Regency Lake Tahoe. The
9 couple then spent a romantic weekend in Tahoe, where they ordered room service, skied at
10 the Heavenly Mountain Resort, and enjoyed all the resort’s amenities. *See* Exhibits 10-12.

11 Between airfare, his rental car, skiing charges, and food and lodging, the trip was far
12 outside Hunter’s meager personal finances. Although he did make some small purchases
13 with personal funds (*e.g.*, \$11.39 at Wendy’s, \$16.01 at the Peppermill Gift Shop, and
14 \$19.67 at Heavenly), Hunter financed his romantic getaway with almost \$2,000 in
15 campaign funds. Once again, this was not an accident, but part of a deliberate scheme by
16 Hunter to subsidize his lifestyle – and, perhaps, conceal the financial costs of his marital
17 infidelity from his wife. Indeed, the day that Hunter checked out of the Hyatt and paid his
18 rental car bill, his personal bank accounts had a negative balance (-\$687.04) and he incurred
19 six separate insufficient funds fees of \$33 each, for a total of \$198. *See* Exhibit 13.

20 On the rare occasions in 2010 that Hunter did take his girlfriend out in public, he
21 financed their dates with campaign funds. For example, on March 24, 2010, Hunter and
22 his girlfriend joined another Congressman and his girlfriend to see Jack Ingram perform at
23 The Birchmere concert hall in Alexandria, Virginia. At the show, Hunter used \$121.34 in
24 campaign funds to pay for 12 beers, nachos, and wings. *See* Exhibit 14. On the many
25 occasions that Hunter went out without his girlfriend, he might use campaign funds to
26 purchase sundries (such as cigarettes and beer) prior to returning to her apartment to spend
27 the night. For example, on June 24, 2010, he went to a 7-Eleven around the corner from
28 his girlfriend’s house and used the ATM to withdraw \$20 from his personal account. *See*

1 Exhibit 27. He was left with a balance of just \$0.06 in his personal account, so he used his
2 campaign credit card to pay for \$41.75 in snacks and drinks at the 7-Eleven.³ *See* Exhibit
3 15.

4 Hunter's dependence on campaign funds was not limited to dates with his girlfriend,
5 but rather encompassed a variety of quotidian purchases. On January 29, 2010, Hunter
6 spent \$23.52 in campaign funds at Hudson News to purchase purely personal items, such
7 as a tin of Skoal Bandit Mint Chewing Tobacco and a copy of the book, "Why We Suck:
8 A Feel Good Guide to Staying Fat, Loud, Lazy and Stupid." *See* Exhibit 16. On this day,
9 the Hunter family bank account again had a negative balance. *See* Exhibit 17.

10 On June 1, August 6, and August 21, 2010, Hunter used campaign funds to purchase
11 cigarettes, *see* Exhibit 18; and, in late August 2010, he used campaign funds to buy beer,
12 skim milk, Granny Smith apples, chewing tobacco, and a pack of Marlboro Gold cigarettes
13 at the Albertson's grocery store near his home in Alpine. *See* Exhibit 19. On this occasion,
14 Hunter's personal account was not only negative, but delinquent—incurring a \$34
15 insufficient funds fee the previous day. *See* Exhibit 20. And the following month, when
16 Hunter was again incurring insufficient funds fees to his personal account, he used his
17 campaign credit card to buy tobacco, alcohol, and deli snacks at an Exxon near Dulles
18 airport. *See* Exhibit 21.

19 Throughout this period, Hunter also made liberal use of his campaign credit card to
20 pay bar and restaurant tabs around Washington and San Diego. Often, although he spent
21 tens or hundreds of dollars in campaign money on a given evening, his calendar would
22 reflect no scheduled events or meetings. Hunter rarely reached for his personal debit card
23 to pay for meals or nights out. Nor could he, as he rarely had enough money in his personal
24 account to afford the expensive (and sometimes, inexpensive) nights out he was
25 accustomed to enjoying. For example, on October 15, 2010, Hunter used \$42 in campaign
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27 ³ Hunter paid another \$41 at the very same 7-Eleven earlier that same month, likely
28 for the same items. On that occasion, however, he used personal funds. This illustrates
Hunter's calculated use of campaign funds to subsidize his failing family finances.

1 funds at Hooley's Irish bar in El Cajon to celebrate his brother's coming home party. *See*
2 Exhibit 22.

3 Hunter adopted the same tactic of dipping into campaign funds to purchase his and
4 his family's electronics. On August 28, 2010, after spending about \$1,000 in campaign
5 funds for a new iPad two months before, Hunter spent \$1,532.36 at the Apple Store for an
6 iMac computer and ASPYR Civilization videogame, *See* Exhibit 23. This computer was
7 later found by FBI agents in his children's room, along with evidence showing that
8 Hunter's children used the computer for gaming.

9 Hunter adopted the same cavalier approach to using campaign funds for his many,
10 many golf outings with friends. While some of his golfing expenses can be justified as
11 appropriate fundraising, over the years he spent thousands of dollars in golfing fees on
12 outings with his personal friends and family. For example, on September 13, 2010, Hunter
13 spent \$164.29 in campaign funds to pay for a round of golf and a six-pack of beer at
14 Riverwalk Golf Club with one of his closest friends. *See* Exhibit 24. When asked by the
15 Treasurer if this expenditure (among several others) was campaign related, Hunter simply
16 uttered the disingenuous reply: "Yessir. All good." *See* Exhibit 25. He never disclosed
17 that he was out playing golf socially with his closest friend.

18 In late 2010, a Congressman invited the Hunter family to see the Pittsburgh Steelers
19 vs. Oakland Raiders game at Heinz Field in his family's private box. Despite recognizing
20 that his family's finances were in tatters, Hunter used the invitation to treat his 9-year-old
21 son to an extravagant birthday trip.⁴ Unlike the Congressman who issued the invitation,
22 Hunter used campaign funds to pay for his son's and Margaret's airfare (\$790), three nights
23 at three hotels (\$767), gas for the drive to Pittsburgh (\$161), meals at the hotel in Pittsburgh
24 (\$84), and dinner at the Georgetowne Inn in Pittsburgh (\$311). *See* Exhibit 26.

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26
27 ⁴ During their entire vacation, the Hunter family bank account had a negative balance
28 and incurred two separate insufficient funds fees and one returned item fee (totaling \$102)
the day after their return.

1 Unsurprisingly, Hunter did not disclose to his Treasurer that these expenses were for a
2 football game, nor did he report that their son's birthday was the reason for his attendance.

3 2. Margaret Hunter's Improper Use of Campaign Funds

4 Although the Hunter family's penury became a constant irritant in the
5 Congressman's life, its effects were ameliorated due to the opportunities he had to be wined
6 and dined in D.C. by various lobbyists, opportunists, and sycophants who paid for his meals
7 and nights out. While Hunter was enjoying the D.C. high life, Margaret Hunter was left
8 raising a family operating under the same financial constraints. Recognizing this reality
9 (and, perhaps, assuaging the guilt resulting from his marital infidelities), Hunter took steps
10 to ease the financial burden on his wife. In particular, Hunter instructed Young to get
11 Margaret a campaign credit card, even though Margaret had no official role whatsoever
12 with the campaign. *See* Exhibit 6 (Young Grand Jury Transcript at 45-46).⁵

13 While Hunter was the first to use their new American Express campaign credit cards
14 (on December 29, 2009) for a \$60 meal at the Brigantine in La Mesa, Margaret began
15 spending the very next day. On December 30, 2009, Margaret went to Olive Garden in La
16 Mesa and charged a \$69 meal to her new card. A few days later, on January 4, 2010, she
17 spent \$80 on gas at an El Cajon Chevron. At that time, the Hunters had a negative balance
18 in their personal account.

19 At the same time Hunter was using campaign funds with his mistress in Tahoe,
20 Margaret was making liberal use of the new credit card to cover the financial shortfall in
21 their family bank account. On January 8, 2010, she spent \$75 to gas up the family car at
22 7-Eleven and purchased a \$153 meal at Mister A's restaurant. *See* Exhibit 27. Days later

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24 ⁵ According to Hunter's campaign fundraiser, after Hunter took office in 2009,
25 Margaret was not interested in having a position with the campaign. "[S]he said she just
26 wanted to be a mom" and take a back seat in the campaign. *See* Exhibit 42 (Hardison GJT
27 at 51). Staffer Joe Kasper questioned what Margaret's exact role was and whether she was
28 actually doing anything at all. *See* Exhibit 8 (Kasper GJT at 20). In fact (even after she
became a salaried "Campaign Manager"), Kasper and Hunter used to joke that Margaret's
job was limited to picking up the mail. *See* Exhibit 8 (Kasper GJT at 32-33).

1 she defrayed their personal food bill by using campaign funds to pay for meals at California
2 Pizza Kitchen (\$60.43), Jack in the Box (\$16.52), and Panda Express (\$17.92). Towards
3 the end of the month – after the family bank account had a negative balance and had
4 incurred multiple insufficient fund fees – she stretched the household budget by using her
5 campaign credit card to buy \$243.80 in groceries at Vons.

6 Even though Margaret possessed the credit card for a little over one month, Young
7 had already become deeply suspicious. Young told Hardison, “[i]f we can’t get the charges
8 resolved I will need to get the card back.” *See* Exhibit 28. Over the next few months,
9 Margaret did nothing to assuage Young’s suspicions. She began using her credit card at
10 retail outlets. In February 2010, she spent \$59.23 at Sears. *See* Exhibit 29. On March 18,
11 2010, Margaret spent \$70.76 in Campaign funds at Crate & Barrel to purchase a wedding
12 gift for two close friends. *See* Exhibit 26. In addition, she spent \$181.12 in Campaign
13 funds at the La Quinta Resort to reserve a room for the same friends’ wedding.⁶ *Id.* The
14 following week, she spent \$85.18 in Campaign funds at Barnes & Noble to purchase
15 various children’s books and puzzles, including two Disney Princess Storybooks, the
16 “Hardy Boys Series Book 44: The Haunted Fort,” and a 100-piece Gemstone Fairies
17 puzzle. *See* Exhibit 27. By this time, the Hunters’ family bank account had a negative
18 balance and incurred three insufficient funds fees. In describing the Barnes & Noble
19 expense to Young, she falsely reported that it was for “booklets on San Diego,” among
20 other things. *See* Exhibit 30.

21 From Young’s perspective, Margaret’s improper use of the campaign card resulted
22 in two problems. First, Margaret’s spending (when combined with Hunter’s) was out of
23 pace with the fundraising, so she was “draining cash on hand.” *See* Exhibit 6 (Young GJT

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25 ⁶ Hunter first met this friend when he volunteered for Hunter’s campaign. The
26 friend, however, was turned off by politics and quickly developed a friendship with Hunter
27 that was completely unrelated to Hunter’s job or politics. By 2010, their relationship was
28 purely personal. The friend and his wife frequently went out for dinner with the Hunters,
and they regularly attended one another’s parties and other family events. During these
occasions, they typically took turns footing the bill for dinner.

1 at 65). Second, she was spending money in ways that would raise a red flag if they were
2 scrutinized. This was further complicated by her refusal to give Young the basic
3 information needed to explain the charges as legally required under FEC rules and
4 regulations. *See* Exhibits 6 (Young GJT at 67-68) and 31 (Hardison GJT at 77).

5 As Hardison and Young grew increasingly concerned, they saw they needed to
6 ensure that Hunter was well aware of his wife's improper spending. *See* Exhibit 31
7 (Hardison GJT at 75). Accordingly, they called a meeting to discuss their concerns. Hunter
8 agreed, but when the time came for the meeting, Margaret didn't show up. *See* Exhibits 6
9 (Young GJT at 66) and 31 (Hardison GJT at 75-76). In Young's mind, this actually worked
10 out better. Without Margaret present, Young was able to be more candid with Hunter about
11 his concerns. Young testified that during the meeting, Hunter understood that Margaret's
12 spending was a serious problem that could turn into a political liability. *See* Exhibit 6
13 (Young GJT at 68).

14 At this meeting, Young counseled Hunter to take Margaret's credit card away.
15 Hunter, however, never followed through. *See* Exhibit 6 (Young GJT at 69). In reality,
16 Hunter recognized the family's need to rely on campaign funds – and was himself culpable
17 for misusing these funds in order to support his personal lifestyle. Hunter therefore simply
18 deflected Young's concerns by claiming that he would talk to Margaret about the problem,
19 plus work on increasing his fundraising activity. *See* Exhibit 6 (Young GJT at 70).⁷

20 In other words, despite being informed of Margaret's improper use of campaign
21 funds as early as April 2010, Hunter only allowed the illegal conduct to escalate. On April
22 15 and 19, 2010, Margaret spent \$448.48 in Campaign funds at Aaron Brothers to purchase
23 various items, such as glitter paint pots, princess and Halloween face paint, a butterfly girl
24 card, color flame birthday candles, Gerber daisies, and a white orchid, *see* Exhibit 32,

25 ⁷ Right around the same time that Young first warned Hunter about Margaret's
26 uncontrolled spending, Hunter's girlfriend sent him a seemingly prescient article from the
27 *Washington Post* discussing how another Representative was the subject of an FBI
28 investigation for his misuse of \$40,000 in campaign funds. *See* Exhibit 30 (Hunter's
girlfriend used a code name to conceal Hunter's identity in her contacts).

1 which she falsely reported to Young as “frames.” On April 28, 2010, she spent \$226.40 in
2 Campaign funds to purchase an airline ticket for her sister. On all the above dates, the
3 Hunter family bank account had negative balances and was incurring insufficient fund fees.

4 Throughout the remainder of the year, Margaret continued to spend thousands of
5 dollars of campaign funds on the family’s daily living expenses at a variety of retailers
6 such as Costco, Target, Rite-Aid, Michael’s, JC Penny, Vons, and Albertson’s. For
7 example, in May she spent \$307.72 in Campaign funds at Target to purchase a tablecloth,
8 three square pillows, a three piece brush set, a metal tray, four temporary shades, four
9 window panels, a white duck, two Punky Brewster items, a ring pop, and two five-packs
10 of “animals,” *see* Exhibit 33, which she falsely reported to Young as “teacher/parent &
11 supporter events.” *See* Exhibit 34. On this day, the Hunter family bank account had a
12 negative balance and incurred an extended overdraft fee. Over the next week, the account
13 incurred four returned item fees for unpaid checks and one insufficient funds fee charge
14 (totaling \$170).⁸

15 Margaret’s use of campaign funds to purchase the commonplace items of everyday
16 family life is illustrated by her shopping at the Miramar Commissary (where on September
17 27, 2010 she spent \$155.96 to purchase groceries, including chicken fettucine, sherbet,
18 breakfast cereal, orange juice, coffee, chicken nuggets, tissue bath wipes, baby shampoo,
19 and bubble bath), *see* Exhibit 35, and Michaels craft store (where the very next day she
20 spent \$239.28 to purchase a variety of gift and craft items, including foam glitter stickers,
21 Elmer’s Glue, frames, rock candy, Nestle Raisin[ettes], and a “We love Halloween” book).
22 *See* Exhibit 36.

23
24 ⁸ On the occasions that Margaret attempted to use her personal credit card, the results
25 were not pretty. For example, while attending their friends’ May wedding in Palm Springs,
26 she used a personal credit card to pay \$26 at the Mountain View Country Club – which
27 brought her dangerously close to her credit limit and increased the balance on her card to
28 more than negative \$10,000. That same weekend, the Hunters’ personal bank account
balance was also negative, and she had to use her campaign credit card to pay the remainder
of the hotel bill.

1 These and similar purchases continued to concern Young. He made a point of
2 tracking Margaret down each month in pursuit of explanations. Margaret often answered
3 late, with incomplete information. When she did respond, she gave facially plausible but
4 dubious explanations for her spending. On June 16, 2010, for example, she claimed that
5 her purchases at Target and Costco were for “items purchased to fill into baskets I have
6 been and still am preparing as auction donations for several events.” She did not identify
7 the “events.” *See* Exhibit 37.

8 The following month, she similarly claimed that her charges at World Market,
9 Michaels craft store, and Target were “for remaining basket items I needed.” *See* Exhibit
10 38. As for the grocery stores, she frequently just categorized the expenses as “event with
11 supporters” or “volunteers.” She often claimed that her restaurant purchases were simply
12 “meals with supporters,” still without indicating who ate with her or why they were meeting
13 over a meal. Despite Young asking Margaret for receipts, they weren’t forthcoming. He
14 explicitly warned Margaret that he needed the receipts in the event they were audited, and
15 cautioned that her suspicious charges “could get lots of negative press.” *See* Exhibit 39.

16 As Margaret’s (and Hunter’s) illegal spending continued unabated,⁹ it started to have
17 a direct and worrying effect on the campaign’s cash on hand in the 2010 election year. The
18 resulting deficiency caught the attention and concern of Hunter’s congressional staff. *See*
19 Exhibit 4 (Kasper GJT at 18-19). Hunter’s meager cash-on-hand also caught the attention
20 of the Fourth Estate. On October 27, 2010—six days before the November 2 general
21 election—the *Poway Patch* published an article about Hunter’s campaign war chest. The

22
23 ⁹ For example, on six different occasions Margaret spent a total of \$1,611.52 at
24 Costco to purchase various items for the Hunter family, including groceries (such as
25 Cheerios, Hershey’s Chocolate Milk, Ocean Spray Craisins, Galbani String Cheese,
26 Cottage Cheese, Gogurt, and Yoplait Light); household items (such as Foss indoor/outdoor
27 rugs, paper towels, Kleenex tissues, children’s Advil, Clorox Disinfecting Wipes,
28 Neutrogena Rainbath, and Cottonelle Fresh Flushable Wipes); and gifts for her children
(such as pajamas, a dress, an “*Alice in Wonderland*” DVD, and a “*How to Train your
Dragon*” DVD). *See* Exhibit 38. Margaret falsely described these charges to Young as ink
cartridges, paper, notebooks, and holiday gifts for supporters. *See* Exhibit 40.

1 article described that Hunter, facing little competition for his safe congressional seat, had
2 spent nearly all of the \$700,000 he raised for the campaign. The article suggested that
3 Hunter's spending, which included significant amounts spent on travel and "other," but
4 less on voter outreach, was "unusual." Hardison distributed it to the campaign staff,
5 including Hunter, to ensure they were aware of the issue. *See* Exhibit 41. Obviously, none
6 of this could have come as a surprise to Hunter, who was well aware of his and his wife's
7 use of campaign funds to offset their personal financial liabilities.

8 Amazingly, despite Margaret's improper use of campaign funds, in November 2010
9 Hunter began to discuss the idea of actually hiring his wife to work for the campaign and
10 paying her a salary. *See* Exhibit 6 (Young GJT at 83-84). Hunter's staff universally found
11 this to be a bad idea. According to Hardison, she discussed the political risks with him—
12 specifically, that he would face criticism from the media for hiring his family members.
13 *See* Exhibit 31 (Hardison GJT at 86). Young was more direct; he told Hunter that if
14 Hunter's "grandfather was around...he wouldn't let it happen." *See* Exhibit 6 (Young GJT
15 at 84). In face of uniform resistance, Hunter did not pull the trigger on hiring his wife—at
16 least, not yet.

17 Following Hunter's November re-election, Margaret continued her illegal spending.
18 For example, on November 6, 2010, she spent \$704 in Campaign funds at the Old Globe
19 to buy tickets to the play, "*How the Grinch Stole Christmas*." *See* Exhibit 41. When Young
20 pointed out to her that "there is a restriction [against using campaign funds] on
21 entertainment/sporting events," Margaret implausibly explained that the tickets were for
22 "holiday gift certificates/event donations etc." *See* Exhibit 42 (page 2). Young wasn't
23 satisfied.

24 In order to make sure that Young got Hunter's full attention regarding his wife's
25 continued problematic spending, he copied Hunter on an email warning Margaret that "the
26 chances of audit are high. When they go over one item they go over the entire campaign."
27 *Id.* (page 1). By pointing this out, Young wanted to make sure that Hunter recognized that
28 that if his campaign spending was scrutinized, people would see not just the Old Globe

1 tickets, but also all the charges at Olive Garden, Vons, Albertsons, Costco, Target, and
2 elsewhere. *See* Exhibit 6 (Young GJT at 86-87). And, to make sure there was no
3 misunderstanding, Young followed up his email with a phone call to Hunter. *Id.*

4 To further apprise Hunter of his wife's campaign spending, Young also began
5 sending Hunter a copy of Margaret's campaign credit card charges and his included
6 correspondence. According to Young, he wanted Hunter "to see exactly what [Margaret]
7 was doing with the credit card" so that he would be aware of the problems and could put a
8 stop to it. *See* Exhibit 6 (Young GJT at 88-89). For example, he copied Hunter on a
9 November 18, 2010 email where he pointed out, among other things, that "[i]t is hard to
10 justify that all charges to the 'Campaign Credit Card['] are [c]ampaign related when
11 portions are charged as personal." *See* Exhibit 43. He also reviewed a receipt she
12 submitted from Olive Garden (\$46), and pointed out that it showed: "three children and
13 one adult. Hard to justify as Campaign related." *Id.*

14 Young concluded with a direct plea: "Duncan, Don't know how you want to handle
15 this. I think our chance of audit are increased substantially. I will call you tomorrow." *Id.*
16 Although there was no question about Margaret's ceaseless theft of campaign funds, Young
17 stated that it was up to Hunter to handle the problem. All Young could do as Treasurer
18 was to bring it to the Congressman's attention, make sure he understood the risks, and
19 encourage him to make the right choice. *See* Exhibit 6 (Young GJT at 90, 99). Young had
20 tried to do that from the day they first got the credit cards, and had been warning Hunter
21 about these problems for many months prior to this November exchange. *See* Exhibit 6
22 (Young GJT at 93).

23 In December, Young continued to copy Hunter on his correspondence because he
24 was "concerned enough that [he] wanted Duncan to hear firsthand straight from [him]
25 exactly what Margaret was doing with her credit card." *See* Exhibit 6 (Young GJT at 97).¹⁰
26 In a December 10 email in which he copied Hunter, Young reminded Margaret that

27 ¹⁰ Young's concerns were no doubt exacerbated by the fact that in early December
28 2010 his cash on hand estimate showed only \$30,500 in campaign funds. *See* Exhibit 44.

1 campaign money cannot be used “for a leisure outing at which the discussion occasionally
2 focuses on the campaign.” *See* Exhibit 45. Rather than come to his senses and stop their
3 illegal spending, Hunter personally responded to Young’s entirely appropriate questions
4 with a defensive and disjointed accusation that Young was trying to put together a “paper
5 trail on me:”

6
7 **From:** Duncan <duncan@breakcontact.com>
8 **Sent:** Friday, December 10, 2010 10:15 PM
9 **To:** Bruce Young
10 **Cc:** Margaret Hunter
11 **Subject:** Re: American Express Charges.

12 Are we attempting to create an email trail for some reason? I am trying to raise money for my campaign and the
13 conservative cause. This requires meeting people. I'm not sure why Sheila is included in this either. Should she
14 be copied as an fec consultant? Or lawyer? I'm feeling like we are trying to create some kind of paper trail on
15 me. Which is fine if that's what we need. But if not, we need to go on the offensive and raise money. If we don't
16 all agree that I should meet new people then I'm not sure what to do.

17 *See* Exhibit 46.

18 In the face of Hunter’s refusal to address the problem, on December 22, 2010, Young
19 sent the Congressman a response, explaining that he had copied Hunter on his
20 correspondence with Margaret so that Hunter could see “the exact charges that Margaret
21 was making” and could address them specifically with her. *See* Exhibit 47. This once
22 again proved futile. Finally, Young issued an ultimatum. Either Hunter stepped up and
23 got Margaret in line, or Young would leave the campaign. *See* Exhibit 6 (Young GJT at
24 112).¹¹ According to Young, this finally got Hunter’s attention and Hunter reported back
25 that Margaret was finally going to put her campaign credit card away. *See* Exhibit 6
26 (Young GJ Testimony at 113-14). Instead of charging things directly, Margaret would
27 have to pay her own expenses and then ask Young for reimbursement. *See* Exhibit 6

28 ¹¹ For her part, Margaret claimed to appreciate Young’s efforts, but felt that he
thought she was lying to him, which – as the receipts demonstrate and Hunter had to
recognize – she most certainly was doing. *See* Exhibit 48.

(Young GJT at 116). With that, the tension diffused somewhat, and Young did not resign after all—at least, not yet.

E. Hunter’s Second Term (January 2011 – December 2012)

1. Hunter’s Continued Improper Use of Campaign Funds

Chastened with the realization that his volunteer campaign Treasurer was threatening to quit over Margaret’s improper spending, Hunter finally heeded Young’s repeated warnings and stopped Margaret from using her campaign credit card to subsidize the family’s normal living expenses. Indeed, faced with the prospect of political ruin, Hunter even temporarily reigned in his own illegal campaign spending. Although Hunter still used his campaign credit card for meals, drinks, and golf outings that appear unrelated to any official functions or work-related meetings, this spending was modest enough not to attract attention.¹²

Hunter’s communication with Young indicates that he did not enjoy curbing his spending; and, despite patching up their relationship in late December, things were still occasionally testy. On March 15, 2011, Young as usual asked Hunter to review his monthly credit card charges and confirm whether they were campaign-related. Hunter replied to this simple request: “of course they are all campaign. Why else would I charge them to the campaign credit card.” *See* Exhibit 51. Nevertheless, nine days later on March 24, 2011, Hunter used his campaign credit card to pay \$11 at Cottonwood—2 sodas and 2 hot dogs at 1:55 pm—for what photos from the day show to be a golf outing with his young daughter. *See* Exhibit 52.

Two days later (when Hunter was perilously low on funds in his personal bank account) he used his campaign credit card to charge \$92 at Sycuan Resort & Golf, even

¹² For example, on Saturday, February 5, 2011, while Hunter was home in San Diego and his calendar was marked “Personal – Cottonwood,” he spent \$53 in campaign funds at the Cottonwood golf course for one weekend round of 18 holes with one of his best friends. *See* Exhibit 49. After golf, Hunter spent another \$116 in campaign funds at Harney Sushi in Old Town, a spot which his friend recalled they used to go to with some frequency after golfing. *See* Exhibit 50 (GJT at 29).

1 though his calendar was again blocked “PERSONAL.” *See* Exhibit 53. Then on May 8,
2 2011, when Hunter was in San Diego for the weekend, photos from the day show he took
3 his son out for Mother’s Day golf at Cottonwood and charged their green fees (\$65) to his
4 campaign credit card. *See* Exhibit 54.

5 Hunter continued racking up small personal charges on his campaign credit card. He
6 played golf at Cottonwood, and used campaign funds to buy beers and snacks. He spent
7 money at a few bars in DC. On May 27, 2011, on his way home to San Diego, he spent
8 \$18 in campaign funds to buy, among a few other items, a pack of Marlboro Gold cigarettes
9 and Copenhagen long cut chewing tobacco. *See* Exhibit 55. And, on June 9, 2011, while
10 he was buying computer supplies at Best Buy in El Cajon, Hunter spent \$164.63 in
11 campaign funds for a pink iPod Nano. *See* Exhibit 56. Upon reviewing these and other
12 charges, he falsely confirmed to Young, “Yes,” they were all campaign related. *See* Exhibit
13 57.

14 On June 17, 2011, Hunter spent \$142.36 in campaign funds to buy two pairs of pants
15 at the Men’s Wearhouse in La Mesa. Even though he emailed Young that night to confirm
16 his May and June spending, Hunter mentioned nothing to Young about the pants. A full
17 month later, when the bill came due, Young asked Hunter specifically about the Men’s
18 Wearhouse charge. Only then did Hunter give an implausible explanation: claiming that
19 he “used the wrong card,” and was too “semi-embarrassed” to correct the mistake and pay
20 for the clothes using his personal credit card. “Lol.” *See* Exhibit 58.

21 In June 2011, Margaret arranged for a quick trip to D.C. She reserved a room at
22 the Liaison Capitol Hill Hotel for June 21 through 24. But she altered her plans, and
23 changed her flight to arrive a day later. But Hunter kept the room they had reserved, and
24 stayed there with his girlfriend the night before Margaret arrived. *See* Exhibit 59. He
25 charged the entire bill to the campaign, including the \$162.02 in charges due to the extra
26 night spent with his girlfriend.

27 On June 29, 2011, Hunter spent \$253.56 in Campaign funds at the Old Hickory Golf
28 Club on a golf outing with his girlfriend. *See* Exhibit 60. In addition to their greens fees,

1 Hunter purchased 10 beers, an Adidas shirt, a visor, and lunch. *See* Exhibit 61. Hunter did
2 not mention these expenses to Young when he was asked to review his spending.

3 On July 3, 2011, Hunter and Margaret got together with good friends for golf and a
4 date night. Their friends emailed Hunter and Margaret a few days ahead of time to set up
5 plans, and they settled on dinner at Sally's downtown. *See* Exhibit 62. That afternoon at
6 2:00 pm, Hunter used \$90 in campaign funds to purchase three rounds of golf at
7 Cottonwood. Then the two couples met up for dinner. The couples split the bill and Hunter
8 spent \$148.90 in campaign funds to fund his portion. *See* Exhibit 63.

9 2. Margaret's New Campaign Credit Card

10 Without her own campaign credit card, in early 2011, Margaret's ability to illegally
11 access campaign funds was limited. This changed in June 2011 when she asked Young for
12 a new credit card. Although Margaret still had no official role in the campaign, Young
13 obliged as Hunter voiced no objection. Accordingly, he obtained and sent Margaret a new
14 campaign credit card, and she quickly put it to use.

15 On July 6, 2011, Hunter, Margaret, and the three kids flew to DC for a 12-day family
16 vacation. Originally, they planned to attend the National Republican Congressional
17 Committee ("NRCC") annual retreat at the Nemaquin Woodlands Resort in Pennsylvania,
18 with an extra week sightseeing in D.C. before the retreat. The Hunters, however, never
19 attended the NRCC event. Nevertheless, Margaret used \$1,925 in campaign funds to book
20 the family's plane tickets, *see* Exhibit 115, and obtained \$900 in campaign funds to
21 subsidize their stay at a rental house in Accokeek, Maryland (just across the Potomac River
22 from Mount Vernon). She later requested \$705 in additional campaign funds to cover
23 three more nights at the rental house, in lieu of the NRCC accommodations. *See* Exhibit
24 116.

25 During their D.C. stay, the Hunters used personal funds to buy groceries, gas, and
26 tickets to Mount Vernon and the International Spy Museum.¹³ But the family also spent

27 ¹³ The Hunters were incurring insufficient funds fees on their personal bank account
28 until they deposited a \$900 check from Hunter's mother on July 15, 2011. *See* Exhibit 117.

1 hundreds of dollars in campaign funds on vacation expenses—including \$65.19 at the Spy
2 Museum gift shop (for two secret message journals, a spy decoy listener, and mini weapons
3 of mass destruction), \$31.50 at the Mount Vernon food court, and \$364.45 at the Mount
4 Vernon gift shop for a host of souvenirs, including Christmas ornaments and two beanie
5 babies. She also used \$54 in campaign funds to buy Metrorail tickets, another \$54 on
6 parking, \$36.89 at the Longworth Café, and \$49.39 at McDonald’s. *See* Exhibit 118. On
7 July 17, 2011, the family’s last night in D.C., the Hunters spent \$410.33 in campaign funds
8 taking advantage of room service and running up a bar tab at the Hilton near the airport.
9 *See* Exhibit 119.

10 Armed with her new campaign credit card, Margaret returned to her “old” ways upon
11 arriving back in San Diego. Over the following days, she used her new campaign credit
12 card to purchase tickets for the Del Mar races (\$102), gas (\$40), and meals at Olive Garden
13 (\$86.81), Starbucks (\$21.05), and Carl’s Jr. (\$19.60). *See* Exhibit 120. When Young asked
14 her to review these charges, she misled him, claiming: “These are all related to some
15 expenses during July 6-15 trip to DC-VA.” *See* Exhibit 121. Hunter—who was part of
16 this email exchange—never corrected Margaret’s false explanation and her misleading
17 claim that the trip to DC was an appropriate campaign expense.

18 On August 2, 2011, Hunter returned to San Diego. During his trip home, he spent
19 \$20.96 in Campaign funds at a Paradies Shop to purchase a tube of Blistex, several
20 magazines, and the science fiction film, “*Cowboys and Aliens*.” *See* Exhibit 122. The
21 following Friday, August 6, 2011, the Hunters met friends at the Treasure Island Hotel in
22 Las Vegas for a couples’ weekend. The husband of the other couple was a close friend of
23 Hunter, who described the trip as a “pure vacation” – and recalled that the foursome spent
24 their weekend together going out to restaurants, lounging by the pool, sightseeing, and
25 taking in a show. In a sworn statement, Hunter’s friend indicated that it was memorable
26 because it was the first time he and his wife had vacationed without their children. This
27 statement was corroborated by photos showing that the Hunters enjoyed the getaway. *See*
28 Exhibit 124.

1 Although Hunter's friend was an elected state official, he and his wife paid for the
2 vacation with personal funds (not state or reelection funds). The Hunters, on the other
3 hand, did not. They used campaign funds to pay for nearly every expense incurred during
4 this trip. Hunter signed off on the \$761.95 Treasure Island Hotel bill, and spent more than
5 \$260 for a number of meals and cocktails at the hotel bars, \$69.46 at Spago, \$150.80 at the
6 Bellagio Hotel and Casino, and more than \$200 in Las Vegas taxi rides. Margaret used
7 \$748 in campaign funds to pay for their flights to Vegas (using Hunter's credit card),
8 \$48.36 for meals at the airport, and \$36.50 in incidentals at the hotel. *See* Exhibit 125.¹⁴
9 When Young inquired about the Las Vegas charges, Hunter lied: "Yes. All campaign
10 related." *See* Exhibit 126.

11 The following weekend, August 19, 2011, it was time for another date night with the
12 Hunters' best friends. *See* Exhibit 127. With their family bank account in the red, Hunter
13 used his campaign funds to pick up the Hunters' half of the \$227.45 dinner tab at Jake's
14 Del Mar. *See* Exhibit 128. The next morning, Hunter and his friend hit the links at
15 Cottonwood Golf Club. Prior to teeing off, Hunter used his campaign credit card to buy
16 \$30.16 worth of golf balls and tees, and two breakfast sandwiches totaling \$10.08. *See*
17 Exhibit 129. After golf, the two couples went to the Del Mar racetrack (using the four
18 tickets purchased by Margaret the previous month). At the races, Hunter spent \$156.22 in
19 campaign funds for food and drinks. *See* Exhibit 130.

20 Hunter did not allow his lack of personal funds to interfere with celebrating his
21 youngest daughter's 5th birthday at the end of August. On August 28, 2011, he took his
22 family out for brunch at the Hotel Del to celebrate; photos of the day show the kids enjoying
23 treats from the chocolate fountain (and the adults enjoying a bloody Mary). The bill for
24 their Coronado outing came to \$511.03, which Hunter paid using campaign funds. *See*

25 ¹⁴ Upon returning home from their Vegas vacation, Margaret restocked the family
26 fridge by spending \$262.12 in campaign funds at Vons for family groceries and household
27 items, including Claritin, trash bags, Scooby Doo fruit snacks, Hostess Ho Hos,
28 Lunchables, protein shakes, Lysol disinfectant, and Palmolive liquid detergent. *See* Exhibit
125A.

1 Exhibit 134. When Young inquired about the Hotel Del charges, Hunter lied again, stating
2 that they were “all campaign related.” *See* Exhibit 135.¹⁵

3 On September 5, 2011, Hunter spent \$399.06 in Campaign funds at Best Buy to
4 purchase a Nikon CoolPix S9100, plus battery and SD card. *See* Exhibit 136. The camera
5 was purchased in anticipation of a family vacation to Idaho, where his eldest daughter was
6 competing in the Boise Feis by the River, an Irish dancing tournament. Metadata from the
7 photos of the competition, reveal that the family pictures were taken with Hunter’s new
8 CoolPix S9100. In order to cover up his theft, Hunter falsely described the purchase as
9 being for “ink, paper, and software Microsoft office for mac.” *See* Exhibit 135.

10 Once again, Hunter illegally funded this family vacation with campaign funds –
11 except for using about \$100 of their own funds before ending up with a negative balance
12 in their personal account. In addition to the airplane tickets for the entire family, Hunter
13 used his campaign credit card to finance \$75.58 at airport kiosks on the way to Boise, a
14 \$108.67 meal at Cracker Barrel in Boise, and \$28.65 in purchases at Chevron. Margaret
15 also used her campaign card to buy \$42.71 in food at the airport, \$99 in parking fees,
16 \$203.71 in additional purchases at the Boise Cracker Barrel, \$45.35 in gas, and \$36.38 in
17 snacks on the trip home.

18 3. Margaret Becomes Campaign Manager

19 In the fall of 2011, with their family financial situation unimproved, Hunter revived
20 the idea that Margaret should join his paid campaign staff. Young, who had nothing but
21 difficulties managing Margaret and evaluating her spending, “continued to think this was
22 a bad idea” that carried political risks and the likelihood of negative publicity. *See* Exhibit
23 141 (Young GJT at 118-19). Hunter’s Washington staff also opposed the plan. Joe Kasper
24 “thought it was foolish” and a mistake for Hunter to allow Margaret to draw a salary. Like
25 Young, Kasper recognized the political cost, and also the reality that, as Hunter’s wife, it
26

27 ¹⁵ For that matter, Hunter also lied about his Cottonwood golf outings, and elaborated
28 to help cover up his personal spending. He reported to Young that he “actually meet[s]
quite a few people there. [C]onvenient and a good reason to visit the course.”

1 would be difficult for other staff to challenge Margaret or to push back on any of her
2 requests. *See* Exhibit 142 (Kasper GJT at 33-35).

3 No doubt cognizant that another salary would partially alleviate their desperate
4 financial situation, Hunter ignored his advisors and hired Margaret as his paid campaign
5 manager. In September 2011, FEC records show that Margaret began collecting a salary
6 of \$2,000 per month for “campaign management services.” And, not only did she draw a
7 salary from campaign funds, but Margaret used her new official position to disguise a slew
8 of campaign spending. Armed with a credit card and the cover of being the “Campaign
9 Manager,” Margaret returned to – and in many cases exceeded – her prior pilfering. Over
10 the next 16 months, Margaret spent lavishly in a wide variety of retail locations, such as
11 Barns & Noble (\$1,798), Costco (\$2,309), Home Depot (\$879), Michael’s (\$1,611), Target
12 (\$560), Von’s (\$2,068), Walmart (\$3,309), World Market (\$454), and many others.

13 According to Young, as soon as Margaret began working officially for the campaign,
14 he began seeing “the exact same kinds of charges that were causing [him] great concern
15 back in late 20[10] when Duncan finally took the credit card away.” In response, just as
16 he did at the end of 2010, Young brought Margaret’s spending patterns to Hunter’s
17 attention. Yet Hunter simply ignored the illegal spending and “did not do anything to stop
18 her[.]” *See* Exhibit 143 (Young GJT at 119-22).

19 The week after returning from Boise, Margaret drove their children up to Los
20 Angeles so the Hunters could attend the St. Ambrose Feis in Burbank during the weekend
21 of September 23, 2011. Hunter joined the family in Burbank after playing golf at the Los
22 Angeles Country Club.¹⁶ Margaret financed the trip by using \$670.64 in campaign funds
23 to pay for the family’s rooms, food, drinks, and parking at the Marriott in Burbank. *See*
24 Exhibit 145. For his part, Hunter used \$92.77 in campaign funds to pay for the gas used
25

26 ¹⁶ Hunter flew from D.C. to Los Angeles as he had received an invitation to a
27 legitimate fundraiser held by Eric Cantor in Beverly Hills. Even though Hunter’s invitation
28 to the Cantor event included the cost of a room for him at the Beverly Hills Hotel, he passed
on the free room opting to stay in Burbank where the Feis was being held.

1 on the return trip. *See* Exhibit 146. Compounding this theft, he then “double-dipped” by
2 claiming reimbursement for mileage. *See* Exhibit 147.

3 This was far from the last Irish dancing vacation taken by the Hunters in 2011.
4 Approximately four weeks later, Margaret used \$432.81 in campaign funds to allow the
5 entire family to watch as their eldest daughter participated in the 13th Annual Feis Orange
6 County. *See* Exhibit 148. This time Hunter did not have the pretext of a campaign event,
7 and his calendar was blocked for his daughter’s “Dance Recital” in Orange County. *See*
8 Exhibit 149. Nevertheless, he used \$344.56 in campaign expenses to rent a car in Los
9 Angeles – despite the fact that Margaret drove the family car to Burbank. *See* Exhibit
10 150.¹⁷

11 Just a few days later, the Hunters took their children to the east coast for a fall family
12 vacation. On October 28, 2011, the family went to Washington on the weekend of the
13 Marine Corps Marathon, which Margaret joined in with Hunter. Because Margaret ran the
14 10K portion of the Marine Corps Marathon with “Team Kelly” – which included at least
15 one other congressman and some staffers from Hunter’s office – it is arguable that her
16 participation was an appropriate campaign expense. Whatever the propriety of her
17 participation, however, it is clear that the Hunters should not have spent \$3,754.73 in
18 Campaign funds to finance the children’s portion of the vacation. In this regard, Margaret
19 spent almost \$500 in campaign funds for airline fees, parking, and fast food. *See* Exhibit
20 154. For his part, Hunter’s campaign credit card was used to pay the \$3,255.66 bill for
21 four nights at the Hyatt Regency Capitol Hill, which included eight trips to the hotel gift
22
23
24

25 ¹⁷ Margaret also used campaign funds to fill the family car with gas for her travel to
26 the two Los Angeles area Feis shows. In doing so, she copied Hunter and made her
27 duplicity explicit. *See* Exhibit 151. Hunter’s knowledge of his wife’s improper use of
28 campaign funds would have been obvious anyway – as Young was also copying Hunter
and detailing Margaret’s various campaign expenditures that appeared to be for personal
items. *See* Exhibit 152.

shop (\$213), six orders of room service (\$728), two meals (\$139), and two movies (\$26).
See Exhibit 155.¹⁸

Back in San Diego, Margaret kept making good use of her campaign credit card to rectify her family's woeful finances. On November 15, 2011, she spent \$238.18 at Barnes & Noble to purchase gifts for her family and friends, including two Shrinky Dinks Christmas Tree Kids Creativity Kits, a Night Before Christmas picture puzzle, Fancy Nancy Peel & Stick Wall Decals, and a number of children's books such as A Long Winter's Nap, Flight of the Penguin, and Goofy Goes to the Doctor. *See* Exhibit 157.

On November 19, 2011, the Hunters used \$168.89 in Campaign funds for a day trip to watch their daughter compete at the Irish Dance Teacher's Association Regional Championships held in Anaheim, California. *See* Exhibit 158. Hunter's calendar holds the day for "Family Time" and his daughter's "Dance Recital." *See* Exhibit 159.

In December, Hunter charged \$389.43 to register Hunter and Margaret for the San Diego Half Marathon (held in March) and the Rock & Roll marathon (held in June). *See* Exhibit 160. When questioned about these charges, Hunter told Young, falsely, that the race fees "were supposed to be for a wounded warrior thing..." *See* Exhibit 161 (Hunter told Young he would get a refund, but he never did.). This would not be the last time that the Hunters contemplated using the "wounded warriors" to mask the theft of campaign funds. *See infra* at p. 42.

As the year came to a close, Hunter continued to use campaign funds for family outings, such as the numerous golf outings he enjoyed with both friends and family. For example, on December 29, 2011, Hunter went to Cottonwood golf course for a day out golfing with his son—as shown in photos from the family outing. Using campaign funds, Hunter paid for beers at 11:00 am (\$11), then soft drinks, hot dogs, snacks, and beers at 4:15 pm (\$58). *See* Exhibit 162.

¹⁸ During the entire trip, the Hunters used their personal debit card just twice at the Lego Store in McLean, Virginia. This is not surprising as they incurred three insufficient funds fees during the vacation. *See* Exhibit 156.

4. New Year (2012); Same Improper Spending

In 2012, Hunter continued to be somewhat circumspect about his illegal use of campaign funds. Margaret, however, felt no such compunction. Her husband spent most of his time in Washington, while she was left to manage the family – a task that she was simply unable to handle given their unstable financial situation. To close her household financial gap, Margaret again turned to campaign funds.

For example, on January 11, 2012, Margaret spent \$89.05 in Campaign funds at Costco to purchase toothpaste, Benadryl, Nutella, mango nectar, chocolate milk, bologna, and other typical family groceries (falsely reported as “gift basket items for basket donation - Temecula chamber gala auction”). *See* Exhibit 163, 163A. And, on January 17, 2012, she spent \$35.92 in Campaign funds at Target to purchase toys, including four Squinkies Do Drops and Play-Doh (falsely reported as “printer paper”). *See id.*, Exhibit 164.

When it came to travel, Margaret continued to spend lavishly on her family. On January 12, 2012, she spent \$918.60 in Campaign funds at Expedia to fly her sister and her sister’s two children to a funeral in Tucson, and \$340 at United Airlines to purchase airline miles and tickets for the Hunters to fly to Hawaii in April to celebrate Margaret’s birthday. *See* Exhibit 165. Five days later, she used another \$504.20 in Campaign funds at United to purchase a February flight to Chicago for her mother. *See* Exhibit 166. And, on February 24, 2012, she spent \$2,046 at United for her three kids and her nephew to travel to D.C. for a family vacation in May.¹⁹ *See* Exhibit 167.

On St. Patrick’s Day, the Hunters celebrated with their best friends, who came down from Orange County for the weekend. The two couples went out to dinner at Blue Point Coastal in the Gaslamp downtown and split the \$361.44 bill. *See* Exhibit 168. Hunter chipped in another \$55 in campaign funds for drinks at the Hyatt downtown to keep the

¹⁹ Significantly, Margaret used Hunter’s credit card to make most of the travel arrangements. Therefore, in order for the scheme to succeed, it was necessary for Hunter to verify to Young that all of the reservations were “campaign related.” Unsurprisingly, Hunter backed up his wife’s improper travel spending on each occasion—even when the bill showed flights for Margaret’s mother and nephew.

1 party going. *See* Exhibit 169. The Hunters had a negative balance in their personal
2 account at the time, and had incurred three insufficient funds fees totaling \$102 three days
3 earlier, with no subsequent deposits. *See* Exhibit 170.

4 In May 2012, the Hunters financed a family springtime vacation to Washington with
5 more than \$10,000 in campaign funds.²⁰ These expenses included \$7,301.51 spent just for
6 lodging at the Hyatt Regency Capitol Hill between May 6 and 11, 2012, and thousands
7 more spent on family dining, visits to local Washington area attractions, and souvenirs.
8 *See* Exhibit 171. The Hunters understanding that this was a personal vacation for their kids
9 was demonstrated by their use of personal funds on their first day out (spending \$465 at a
10 mall in Tyson's Corner on fast food, shopping, and movie tickets). Their use of personal
11 funds, however, resulted in their incurring eight additional insufficient fund charges. *See*
12 Exhibit 171A.

13 5. Mid-2012: Cash On Hand Crisis

14 Due to the Hunters' rampant use of campaign funds to finance their lifestyle, by mid-
15 2012, Hunter's campaign finances were in almost as much trouble as their personal
16 finances. At the end of their Washington family vacation, the campaign's cash on hand
17 was down to just \$58,000, with another \$10,000 in outstanding bills. Young found this
18 "especially troublesome" because they were still a few months away from the 2012 general
19 election, and the campaign would need to spend money. *See* Exhibit 172 (Young GJT at
20 123). In addition to relaying his concerns to Hunter, Young also began to involve Victoria
21 Middleton in the campaign's spending problems. Even two years after Young first
22 addressed the problem with Hunter, he was still "concerned about Margaret's charges," *see*
23 Exhibit 173 (Middleton GJT at 36), and Hunter was still continuing to facilitate his wife's
24 continuing misappropriation of campaign funds.

26 ²⁰ The flight and hotel expenses attributable to Margaret could be permissible, as
27 she did attend a "First Ladies Lunch" at the Washington Hilton. However, all expenses
28 related to taking the Hunters' three children and a nephew (also brought along on the
vacation) were inappropriate.

1 Middleton caught on to the problem right away. She worried about Margaret's
2 spending on restaurant bills, supermarket charges, and gift cards (which Margaret claimed
3 were "donations to charities). Among other things, Middleton feared trouble in the event
4 the FEC looked into the campaign's spending. Accordingly, she made sure this problem
5 was on Hunter's radar "as something that had to be taken care of." *See* Exhibit 174
6 (Middleton GJT at 37-39, 41-42).

7 In fact, on June 2, 2012 (just two days after Young emailed Middleton about the
8 campaign's dire cash situation), Hunter used \$221.18 in campaign funds to pay for a meal
9 at Buca Di Beppo in San Diego. *See* Exhibit 175.²¹ And, one week later, Hunter spent
10 another \$369.08 in campaign funds to pay for another weekend partying with their best
11 friends. First, the men played a round of golf at Riverwalk, which Hunter paid for with
12 \$184 in campaign funds. *See* Exhibit 176. They then joined their wives for dinner at Asti
13 Ristorante. Hunter used campaign funds to pay the Hunters' half of the \$370.16 restaurant
14 tab. *See* Exhibit 177.

15 Despite Middleton's concerns, Margaret continued to drain the campaign's coffers.
16 On June 9, 2012, she spent \$1,276 in campaign funds on airplane flights to New Orleans
17 to assist with her sister's family move to Mississippi—which Hunter falsely reported to
18 Young were "campaign related." *See* Exhibits 178, 178A. On June 24, 2012, she spent
19 \$46.98 in Campaign funds at Safeway to purchase family groceries – including Skyy
20 Vodka, white wine vinegar, black beans, bread, Fage Yogurt, BBQ sauce, and olive oil
21 (falsely reported as "flowers"). *See* Exhibits 179, 179A. On July 10, 2012, Margaret spent
22 \$259.31 in Campaign funds to take the Hunter children to the San Diego Natural History
23 Museum and the Prado Restaurant in Balboa Park. *See* Exhibits 180. Although photos
24 taken of the outing show Margaret and the three kids enjoying a day out in the park,
25 Margaret falsely reported the expenses as "gift basket items" and a "meal with
26 supporters"). *See* Exhibit 180A. On July 17, 2012, she spent \$105.28 in campaign funds

27 ²¹ This meal may have been a carbo-loading session, as it happened the night before
28 Hunter and Margaret ran the Rock & Roll Marathon.

1 at Olive Garden to purchase a meal for herself and two of her children (again, falsely
2 described as a “meal with support”). *See* Exhibit 181.

3 Unsurprisingly in light of all this spending, the campaign’s cash situation did not
4 improve—and Hunter’s staff made sure he was kept aware of the problem. On July 18,
5 2012, Young emailed Hunter to let him know that even though the “cash on the report was
6 at \$113K,” the current amount of actual cash on hand was only \$64,000. *See* Exhibit 182.
7 But despite this paltry cash balance and the upcoming general election, Hunter and
8 Margaret continued spending. Among other things, Margaret subsidized an Irish dancing
9 excursion (one of which she disguised by reporting it as a “Newport Event”), and used
10 campaign funds to purchase gas, fast food, and groceries. *See* Exhibit 183.

11 For his part, Hunter continued to spend on golf, dining, and other entertainment. For
12 example, on July 21, 2012 (while attending a campaign golfing event), he improperly used
13 \$59.26 in campaign funds to purchase a pair of Under Armour shorts; the fact that he
14 purchased them at a golf course rather than a clothing store no doubt helped the purchase
15 go unnoticed. *See* Exhibit 184. On August 11, 2012, he spent \$224 in campaign funds for
16 green fees and beers while golfing with a friend at the Doubletree Golf Resort. *See* Exhibit
17 185. The following day, Hunter and Margaret returned to the Del Mar Racetrack with their
18 best friends. In addition to spending \$102 on the tickets, Hunter spent \$310.45 in campaign
19 funds to purchase food and drinks while enjoying a day at the races. *See* Exhibit 186. And,
20 on September 2, 2012, he spent \$371.51 to pay for food (including five kid’s meals) at the
21 Lowe’s Resort in Coronado where his daughter was competing in a dance competition. *See*
22 Exhibit 187.

23 By October 2012, a month before the general election, Hunter’s campaign balance
24 was down to a measly \$26,000. *See* Exhibit 188. The next day, Young alerted Hunter that
25 he amended this estimate based on some additional bills, noting that the new net cash
26 available was actually just \$17,000. *See* Exhibit 189. Even in face of this news, the
27 Hunters kept spending needed campaign funds on what appeared to be clearly personal
28 expenses, including Enterprise Rent-a-Car (\$801.97), Costco (\$327.43), Dick’s Sporting

1 Goods (\$282.58), Home Depot (\$161.53), Vons (\$116.01), Walmart (\$106.32), and others.
2 *See* Exhibit 190.

3 On October 29, 2012—just one week before the election—Young alerted Hunter to
4 a new level of trouble: the campaign did not have enough in the bank to cover all its bills.
5 The campaign had to stop an order on a campaign flyer that was scheduled to be mailed
6 that day, even after the campaign had already sunk \$18,000 into printing costs. Young told
7 Hunter he would need to raise another \$24,000 just to pay his existing bills. Hunter
8 responded, “Don’t pay. I’ve already stopped the mailer. We will talk tomorrow morning.”
9 *See* Exhibit 191. Hunter was angry, and “essentially relieve[d] Margaret of duty” as of that
10 moment. *See* Exhibits 192 (Young GJT at 130) and 193 (Hardison GJT at 109).

11 Despite being “fired” (and despite the campaign’s now-desperate financial situation)
12 Margaret kept on spending campaign funds. Days after the October 30 conference call, she
13 took her campaign credit card shopping at Barnes & Noble (\$167), Target (\$109), Party
14 City (\$43), Stater Bros (\$27), the Miramar commissary grocery store (\$420), Domino’s
15 Pizza (\$31), and Costco (\$110). *See* Exhibit 194.²²

16 By this time, Middleton understood that something more drastic had to be done, and
17 she took an even more active role in the campaign’s finances. In her view, the campaign
18 had to either raise more money, spend less, or both; and most importantly, the campaign
19 needed to cut Margaret’s spending. *See* Exhibit 195 (Middleton GJT at 47-48, 49). On
20 December 4, 2012, Young—to assist Middleton gaining control of the improper
21 spending—sent Middleton a list of all credit card spending in the past year, separated by
22 category (including \$3,689 for “gifts for supporters;” \$3,035 for “gift baskets,” “gift basket
23 items,” and “campaign gift baskets;” \$15,421 for “meals with supporters;” and other
24

25 ²² In reality, Hunter’s decision to take Margaret off the payroll may have been
26 influenced more by an October 17, 2012 article in the San Diego *Reader* (criticizing
27 Margaret’s \$2,000 salary) than by his disappointment at her spending. Indeed, Hunter
28 opted *not* to take away Margaret’s campaign credit card even after relieving her of all
duties—and even after the evidence was clear that she helped spend the campaign into a
hole.

1 concerning figures). *See* Exhibits 196. Young asked Middleton to review it with Hunter,
2 who indicated that she would talk with the Congressman that day.

3 On December 4, 2012, Middleton spoke to Hunter about her concerns with
4 Margaret's spending habits. *See* Exhibit 197 (Middleton GJT at 53). Rather than handle
5 the issue himself, Hunter asked Middleton to speak with Margaret. With Hunter present,
6 Margaret told Middleton that she understood and would "endeavor to to[e] the line" by
7 reigning in her spending. *Id.* at 55-56. However, within days, the campaign's cash on hand
8 further dropped to just \$7,280. In response, Young warned the team, including Hunter,
9 that "we need to stop all excess spending. If not, Duncan may need to lend the campaign
10 money to make bills or we may have an FEC problem." *See* Exhibit 198. Of course,
11 Hunter well knew that he was in no position to loan any personal money to his campaign.

12 On December 19, Middleton had another talk with Margaret about her rampant
13 spending on "charitable donations," "gift baskets," and the like—and the risk that those
14 charges would be perceived as inappropriate. In response, Margaret vowed, "[a]s of now,
15 I am done with any donation item purchases related to the campaign." *See* Exhibit 199.
16 Yet, astoundingly, later *that same day*, Margaret used her campaign credit card to spend
17 \$155.66 at World Market (falsely described as "holiday basket gift items"), \$44.20 at
18 Walmart (falsely described as "gift wrapping"), and \$359.57 at Barnes & Noble (falsely
19 described as "items for multiple toy drives/children's hospital book drive"). *See* Exhibit
20 200. And, three days later (right before Christmas), Margaret spent \$54.50 at Albertson's
21 (falsely reported as "holiday party tray"), \$233.34 at Walmart (falsely described as "toys
22 for tots"), and \$256.81 at Barnes & Noble (falsely described as "toys for tots"). *See* Exhibit
23 201.

24 By this time, Young was fed up with his volunteer job on the campaign and his
25 efforts to keep the Hunters' spending in check. He began to transition the Treasurer's
26 duties to Chris Marston of Election CFO, a "professional" treasurer who worked for several
27 different Congressmen in Washington. As part of this transition, Young made
28 arrangements to cancel the campaign credit card—which was under his name—at the end

1 of the year. *See* Exhibit 202 (Young GJT at 131). With no ready access to campaign funds
2 and nothing in their personal bank accounts, the Hunters grew desperate for money.²³

3 On December 31, 2012, as Young prepared for his departure, he sent Hunter and
4 Middleton an accounting of the cash on hand and bills coming due. He warned that Hunter
5 needed to raise \$11,000 to \$15,000 by mid-January in order to keep their bills current. “If
6 we can’t raise that much money, Duncan needs to loan the campaign enough money to get
7 by.” *See* Exhibit 203 (Young had previously observed that he had “never worked with an
8 organization that has gone this far in the hole”).

9 6. Hunter’s Third Term (January 2013 – December 2014)

10 a. The New Sheriff

11 With Young’s departure, Middleton assumed control and started reviewing all
12 campaign spending. Hunter’s new treasurer stuck to general bookkeeping and prepared
13 and filed Hunter’s FEC reports. *See* Exhibit 204 (Marston GJT at 11-12). Indeed, Hunter
14 did not even obtain a credit card until March. Significantly, Middleton required Hunter to
15 send her receipts for his expenses around town and at events. Perhaps because of
16 Middleton’s vigilance (and the low balance available to the campaign), Hunter made
17 modest use of his campaign credit card in the first few months of the year. Margaret was
18 similarly limited as she no longer had access to a credit card. In fact, throughout 2013, she
19 was limited to the occasional use of Hunter’s card for internet orders, reimbursements
20 requested through Marston, or travel approved by others.

21 ²³ On December 19 Margaret paid a visit to Duncan’s mother, asking for money.
22 And, on Christmas Eve, Margaret asked Hunter to stop by his mom’s house for cash before
23 he came home. He pushed back (“Dude. C’mom”), but she insisted, “Said u would.” On
24 December 28, he asked Margaret, “How do I pay for gas[?]... Will the card work?” She
25 told him specifically to go to Shell (as opposed to one of the other gas stations nearby)
26 because “[S]hell takes 3 days to actually clear the authorized amount and that will be
27 payday[.]” And, as Hunter went back to Washington at year’s end, they were both
28 struggling to pay for basic needs. When Hunter found out on New Year’s Eve that the
Capitol Hill Club was closed for the next few days, he complained that now he couldn’t
“even get free food [.]” Margaret told him he should “go to a grocery store get couple
things to eat and can take cash on top[.]” *See* Exhibit 202.

1 In short, Middleton's efforts to turn around the campaign's finances and finally put
2 the brakes on improper spending were very successful. *See* Exhibit 203. But while the
3 campaign coffers began to increase, the Hunters' personal finances—likely as a result of
4 their being cut off from the campaign slush fund—were in disarray. They racked up
5 insufficient funds fees as early as January 11, 2013. Throughout 2013, they incurred more
6 than 150 insufficient funds or overdraft fees (totaling more than \$5,000) in their checking
7 account. Hunter's texts indicate that he was all too aware of their troubles and negative
8 bank balances. *See* Exhibit 204A.

9 By mid-April, Hunter was again tempted to dip into campaign funds to pay for a
10 night out with his friends. On Friday, April 19, 2013, the Hunters' best friends came down
11 to San Diego for a weekend visit. On Friday night, the two couples went out to dinner at
12 Cowboy Star Steakhouse and their friends treated the Hunters to dinner. *See* Exhibit 205
13 (GJT at 56). Saturday morning, as was their habit, the men played golf and followed it up
14 with dinner with the wives at Island Prime restaurant on Harbor Island. They ordered
15 martinis, oysters, steaks, a few sides, and key lime pie and port for dessert. The two couples
16 split the bill, with Hunter using \$210.91 in campaign funds to pay his half (and another
17 \$9.02 for a pre-dinner beer). *See* Exhibit 206.²⁴

18 Over the next six months (with Middleton's watchful eye trained on his receipts),
19 Hunter used campaign funds to pay bar tabs and restaurant bills for what arguably could
20 be considered work-related socializing. Only occasionally would he use campaign funds
21 to pay for purely personal charges. For example, on a rainy day in June, he spent \$302.10
22 in campaign funds to purchase a Zero Restriction rain jacket (while attending a fundraiser
23 at a Maryland golf club) and several days later he purchased a pair of \$150 Bose sport
24

25 ²⁴ Hunter misled Middleton about the dinner when he emailed her his signed
26 receipts, claiming: "Dinner with State Farm insurance guy. Does business for a bunch of
27 churches in SoCal" – without disclosing that the dinner was actually one of their regular
28 double dates and the "insurance guy" was one of his closest friends. *See* Exhibit 207. He
also omitted his friend's name—as Middleton might recognize him as a purely personal
friend of Hunter's.

1 headphones at Best Buy. *See* Exhibit 208. And, likely knowing that Uber receipts would
2 not raise questions from Middleton, he began using campaign funds to pay for Uber rides
3 to and from a Washington area apartment (where he had romantic liaisons).

4 On November 16, the Hunters' son's youth football team had a playoff game. The
5 Hunters invited their best friends down to watch the game. Prior to the game, the couples
6 agreed to meet for Mexican food and margaritas at Casa de Pico. Their friends arrived
7 first, had a few drinks at the bar, and ordered margaritas for the Hunters before they arrived.
8 For his part, Hunter used \$100.69 in campaign funds to pay the check (and his friends
9 pitched in some cash for their share). After the meal, Hunter emailed a photo of the signed
10 receipt to Middleton, with the false explanation "Dinner with volunteers/contributors." *See*
11 Exhibit 209. Again, he omitted his best friend's name to keep Middleton from learning the
12 truth. Photos from the evening show the Hunter family with their best friends all there to
13 cheer on Hunter's son at the game.

14 In December, the Hunters decided to treat their son to another birthday getaway to
15 watch a Steelers game from a luxury box at Heinz Field.²⁵ Margaret – for the first time in
16 almost a year – used Hunter's campaign credit card to charge \$210 and purchase the airline
17 miles necessary to pay for her son's flights. On the way to the airport to pick up Margaret
18 and his son, Hunter used \$63.57 in campaign funds at Best Buy to pick up a car charger
19 and a pair of Isotoner gloves, and \$708.59 at Hertz to rent an SUV for the trip. After
20 Margaret landed, Hunter paid \$115.81 in campaign funds for supper at TGI Friday, and an
21 additional \$177.24 for a night at the Marriott. On Saturday, December 14, Hunter drove
22 Margaret, another couple, and his Congressman friend's wife up to Pittsburgh (\$35.22 for
23 gas), while their son rode with the other Congressman and his kids in a separate car. In
24
25
26

27 ²⁵ In September, Margaret asked the mother of one of her son's friends, whether the
28 friend would be up for joining the Hunters "on his Bday trip" to the game. *See* Exhibit 210.

1 Pittsburgh, Hunter used his campaign card for dinner on Saturday night (\$254.75) and to
2 pay their two-night hotel bill (\$686.88). *See* Exhibit 211.²⁶

3 Upon returning home for Christmas, money was every bit as tight as it had been the
4 previous year. With Hunter's brother Sam in town, the two of them hit the links with one
5 of Hunter's good friends. Hunter's friend pitched in \$55 for his share and Hunter used
6 campaign funds to pay the \$165 in greens fees. When Hunter texted Margaret that he had
7 invited Sam and several other people to dinner, Margaret replied that she "did not buy
8 steaks for 8 adults!" Privately, she told Hunter he should "buy [more] steaks and [c]all it
9 campaign then." *See* Exhibit 213. Margaret's instruction to Hunter to "call it campaign"
10 when referring to this family BBQ is a clear-cut example of their mutual understanding
11 and joint efforts to secretly siphon campaign money to pay their personal expenses.

12 b. A New Year: A New Campaign Manager

13 At the end of 2013, Hardison left her longtime position of San Diego Fundraiser for
14 the Hunter Campaign. Seizing on the opportunity, Hunter once again ignored his advisors
15 and installed his wife as his Campaign Manager – this time with a raise to \$3,000 per
16 month. Although Middleton was apprehensive, she understood that "if that's what he
17 wanted to do, that—he's the boss, right." And because she believed that Margaret's
18 spending had been under control in 2013, Middleton was optimistic that her concerns had
19 been properly addressed. *See* Exhibit 214 (Middleton GJT at 97-98).

20 Hunter's soon-to-be Chief of Staff, Joe Kasper, was even more apprehensive about
21 Hunter's decision to hire Margaret back to the campaign. *See* Exhibit 215 (Kasper GJT
22 42-43). As Kasper saw it, Hunter disregarded Kasper's advice because he saw "that the
23 idea of getting more money month-in and month-out in the form of a paycheck was an
24 enormous upside, so why not take advantage of that because they could." *Id.* Indeed, when

25 ²⁶ Before heading back to Washington, Hunter had a quick morning meeting at the
26 hotel with the Executive Director of the Port of Pittsburgh. As the planning for this meeting
27 occurred right before the trip, it is clear that it was set up only as pretext, to cover for his
28 son's birthday vacation and so that he could provide Middleton with a plausible explanation
for the travel costs. *See* Exhibit 212.

1 texting Hunter, Margaret made this explicit between them, and in discussing the salary he
2 would authorize, she reminded Hunter: “you need the extra money as much as I do[.]” *See*
3 Exhibit 216.

4 As was the case in 2013, Hunter continued to be cautious in his use of campaign
5 funds. He would normally use campaign money to pay bar tabs, restaurant bills, and golf
6 outings for what arguably could be considered work-related socializing. Only occasionally
7 did he risk using campaign funds to pay for purely personal charges. For example, he
8 bought the odd item of clothing (\$99 to purchase a pair of Cross Flex Sports golf shoes and
9 \$21 for a golfing glove, *see* Exhibit 219), continued to finance “couples’ dates” with their
10 best friends (*e.g.*, \$1,163.68 at the Montage Hotel—which they falsely told their friends
11 would be “a comp evening,” *i.e.* free, *see* Exhibit 220),²⁷ and subsidized the family’s
12 vacations (including \$1,067 at the Nemaquin Woodlands Resort for activities for his kids
13 such as \$399 for the Fatbird Super Flyer zip line (as can be seen in photos showing Hunter
14 enjoying the occasion with his two older children). *See* Exhibit 221.

15 Hunter also continued to spend hundreds of dollars to pay for Uber rides to his
16 girlfriend’s apartment and for transportation to other purely social occasions. His decision
17 to charge personal Uber rides to his campaign credit card was not an accident. He had, in
18 fact, both campaign and personal credit cards tethered to his Uber account. On the rare
19 occasion that he opted to use his personal card, he knew that he could expect Margaret to
20 question or chastise the expense. *See* Exhibit 217 (“did you pay personal for uber
21 yesterday? \$8.14).” So Hunter avoided these confrontations, and saved his family money
22 by using campaign funds to pay for personal rides. Hunter, however, recognized that his
23 was illegal and confided in a close friend, who then offered to pay Hunter’s Uber tab for a
24
25

26 ²⁷ It would have been appropriate for the Hunter’s to take a “comp” room at the
27 Mirage as his campaign was contemplating holding a fund raiser at the hotel later on in the
28 year. However, the Hunters used this excuse to bill the campaign for an extravagant meal
with their friends to which they were not entitled and could not otherwise afford.

ride to dinner. He told Hunter, “I know you have to keep some of those off of your account.” *See* Exhibits 218 and XXX (K.C. GJT at XX).

Even with Margaret’s new designation as Campaign Manager, Middleton’s vigilance (and the fact that Margaret still did not have her own campaign credit card) largely kept Margaret’s improper spending under control. Nevertheless, Margaret managed to get the campaign some expenses, including: \$201.38 for a July 4th couples celebration (plus Hunter’s mom) at Sally’s Restaurant, *see* Exhibit 222; \$250 to fly their family’s pet rabbit Eggburt to Washington, D.C., *see* Exhibit 223; \$2,550 for three night’s family vacation at the Marriot in Washington (including five movies, room service, and Aviator sunglasses that Hunter specifically requested), *see* Exhibit 224; \$187.60 to purchase airline tickets for her nephew’s travel from New Orleans to San Diego, *see* Exhibit 225; \$1,547 to settle the family’s outstanding overdue balance for their home cable subscription that included HBO and NFL Red Zone (falsely reported as being for an “internet printer and fax line one time set up”), *see* Exhibit 226; and \$554.20 for an extra room for their friends at the La Quinta Resort in Palm Springs for a couples weekend (falsely reported as resulting from the Hunters needing to switch rooms). *See* Exhibit 227.

With Middleton minding their campaign spending, the Hunter’s always precarious personal financial condition fell off a cliff. In the last four months of 2014 alone, the Hunters were forced to obtain \$14,750 in loans from Hunter’s mother. And, even with this cash infusion, the Hunters found themselves unable to pay their bills. As a result, in November, Hunter spent \$215.40 in campaign funds at Albertson’s to purchase food for his son’s football team’s end-of-the-season party. *See* Exhibit 228. Similarly, the following month, he spent \$411.19 in Campaign funds at Vons to purchase basic family groceries, including Febreze Toasted Almond Air Freshener Room Spray, Airwick Scent Oil, butter, chopped spinach, brownie mix, corn chowder, mango juice, Hostess Ho-Ho’s (party pack), and Pinot Grigio wine. *See* Exhibit 229.

1 7. Hunter's Fourth Term (January 2015 – December 2016)

2 a. 2015: Middleton Retires – Kasper Takes Over

3 In 2015, Vicki Middleton retired and Joe Kasper was appointed as Hunter's new
4 Chief of Staff. Prior to retiring, Middleton made sure that Kasper "knew that he had to
5 keep an eye on Margaret[.]" *See* Exhibit 230 (Middleton GJ at 124). But Kasper saw this
6 "Margaret problem" as outside of his "swim lane." He believed that Margaret was capable
7 of keeping herself under control without micromanaging, and that it was Chris Marston's
8 role to attend to any problems. *See* Exhibit 231 (Kasper GJ at 54).

9 Kasper (who was a good friend of Hunter's as well as his Chief of Staff) had no
10 interest in getting between Margaret and Hunter. Indeed, he observed that Hunter also had
11 no desire to get in Margaret's way. According to Kasper, Hunter was well aware of
12 Margaret's practice of spending way too much campaign money, but in an effort to keep
13 the peace at home, Hunter chose not to discuss the problem with her. In other words,
14 Margaret's spending problem was "just something he [Hunter] did not want to touch with
15 a 10-foot pole." *See* Exhibit 232 (Kasper GJ at 41-42, 54, 56-58).

16 Even though Kasper was not keeping a watchful eye on Margaret, her improper
17 campaign spending was partially checked simply by the fact that she still did not have
18 access to her own credit card.²⁸ Hunter, on the other hand, continued to use his campaign
19 debit card to pay for visits to bars and restaurants with his friends (some of which included
20 women with whom he was romantically involved), as well as Uber rides around
21 Washington.

22 Similarly, Hunter continued spending campaign funds on days or evenings out in
23 San Diego with the Hunters' friends. For example, on March 8, 2015, Hunter spent
24 \$258.95 in campaign funds at Sally's Fish House and Bar with their best friends. *See*
25 Exhibit 236. On May 3, 2015, he spent \$869.26 in Campaign funds to pay for dinner and
26

27 ²⁸ As was the case in 2013 and 2014, Hunter continued to allow Margaret to use his
28 card for online purchases, including travel reservations, airline tickets, and other spending
that could be done remotely.

1 drinks at the Cowboy Star Restaurant & Butcher Shop, where photos show the family
2 celebrated their daughter's birthday along with their closest friends. *See* Exhibit 237. On
3 May 10, 2015, Hunter spent \$999.68 in campaign funds at the Hotel del Coronado on a
4 Mother's Day brunch for his family and some items at the gift shop (photos show the family
5 posing together on the Coronado beach). *See* Exhibit 238. On May 22, 2015, Hunter spent
6 \$232.73 in campaign funds at the Trattoria Fantastica after visiting Waterfront Park with
7 his family. *See* Exhibit 238-1. On July 19, 2015, he spent \$362.06 in campaign funds for
8 food, drinks, and tickets to the Del Mar Racetrack with the same good friends the Hunters
9 went to the races with in past years (photos from the day show the Hunters with their kids
10 posing with their good friends, who brought along their newborn).²⁹ *See* Exhibit 239. On
11 August 27, 2015, he spent \$276.84 in Campaign funds to play golf at the Riverwalk Golf
12 Club with an old buddy. *See* Exhibit 240. On October 31, 2015, he spent \$223.32 in
13 campaign funds at Jake's Del Mar for the Hunters' portion of the bill during a night out
14 with friends. *See* Exhibit 241. And, on December 21, 2015, he spent \$677.42 in campaign
15 funds at Lou & Mickey's during another night out with the Hunters' best friends. *See*
16 Exhibit 242.

17 On rare occasions, the government was able to uncover examples of Hunter and
18 Margaret explicitly discussing embezzling campaign funds in order to pay for personal
19 items. For example, on March 20, 2015, a close friend from D.C. was visiting San Diego,
20 and he and Hunter played golf that morning. In the afternoon, they were on their way to
21 Lululemon to buy shorts for Hunter's upcoming Hawaii vacation. Prior to arriving at the
22 store, Hunter texted Margaret asking her if his bank debit card worked (*i.e.*, did their family
23 bank account have enough money to cover the purchase as he needed money to buy
24

25 ²⁹ Hunter used his campaign debit card to withdraw \$300 in cash at an ATM in
26 Alpine prior to leaving for the races. The evidence suggests he spent—and lost—this
27 campaign cash betting on the horses, as Hunter had to withdraw an additional \$200 from
28 the same ATM the day after visiting the track. Kasper never questioned what Hunter did
with the cash, so he took the liberty of withdrawing \$400 more on August 9 and \$200 more
on August 16, 2015. *See* Exhibit 235.

1 “Hawaii shorts”). *See* Exhibit 243. Margaret told Hunter that the card wouldn’t work that
2 day. With no personal funds available, she instructed him to use campaign funds instead
3 – noting that “today needs to be work day,” *i.e.*, Hunter should pretend that he was spending
4 the day on legitimate campaign business in order to justify fraudulent campaign spending.
5 Thinking he was still at the golf course, Margaret suggested that Hunter buy the shorts at
6 the pro shop and then falsely tell Marston the charge was an appropriate charitable gift of
7 “some [golf] balls for the wounded warriors.” *Id.*

8 In addition, Margaret suggested that Hunter take cash out on top of any purchases,
9 and helpfully texted the campaign card pin number. She also recalled fondly the days when
10 Bruce Young was still running the show (“We used to do petty cash all the time with Bruce
11 it was great”). *Id.* Although he didn’t use campaign funds for the shorts, Hunter did take
12 Margaret’s advice: he used his campaign card at Chevron to buy \$63.78 worth of gas before
13 driving to the Alpine Albertson’s where he bought \$99.60 worth of groceries (including
14 dog food, bananas, and asparagus) and took back \$100 in cash. *See* Exhibit 243A.

15 The next day, Hunter’s debit card was used to withdraw an additional \$100 from an
16 ATM in Fashion Valley Mall. *See* Exhibit 244. Hunter also spent \$57.27 in campaign
17 funds at a Shell station in El Cajon where he purchased gas, a car wash, candy, and a pack
18 of Marlboro Gold cigarettes. *See* Exhibit 245. Later in the day, Hunter’s debit card was
19 used to spend \$77.20 in campaign funds at Barns & Noble (falsely reported as “kids books
20 donated during visit to Radys [sic] Children’s hospital”). *See* Exhibit 246.

21 At the very end of June, the Hunter family planned a family vacation around
22 Hunter’s cousin’s wedding taking place over the July 4th holiday in Boise, Idaho. *See*
23 Exhibit 247. On their way to Boise, the whole family stopped in Las Vegas for two nights
24 at Caesar’s Palace. Despite drowning in debt, the Hunters ordered room service and drinks
25 by the pool, dined out lavishly, and did a bit of shopping. In order to finance these
26 pleasures, the Hunters used campaign funds to pay the \$1,369 Caesars Palace hotel bill,
27
28

1 \$202.15 for dinner at Carmine's, plus \$42 at the Gap. *See* Exhibit 248.³⁰ Indeed, they
2 racked up so many charges at Caesar's palace (including extravagant minibar spending and
3 poolside service) that they ran over the campaign credit card limit. After they returned
4 home from Boise, the Hunters texted about the overspent card, and noted they had spent
5 \$600 at the minibar and another \$200 on breakfast. Margaret shrugged off the expenses,
6 "Anyway lots of \$ oh well[.]" *See* Exhibit 249. This exchange demonstrates how cavalierly
7 the Hunters misspent campaign funds, with full recognition that it was not their own
8 personal funds that were being used to purchase frivolous luxuries they could otherwise
9 not afford.

10 When they arrived in Boise, the Hunters spent \$185.32 for a hotel room downtown,
11 then moved to the wedding venue where they spent another \$1,083.63 for rooms at the
12 Grove Hotel. The Hunters also used \$73.14 campaign funds at Epley's Boise River Rentals
13 to rent equipment for tubing down the Boise River, \$205.62 at a North Face store (where
14 Hunter bought himself a pair of sunglasses), and \$91.49 for a meal at Cracker Barrel. In
15 all, adding gas, parking, and other travel expenses, the Hunters spent \$3,834 in campaign
16 funds for this personal trip. *See* Exhibit 250.

17 By mid-2015, Hunter was counting on Margaret to use the campaign credit card he
18 had given her to subsidize most of their family expenses. Hunter was not disappointed. In
19 total, Margaret spent more than \$50,000 in campaign funds during 2015 to offset their
20 limited personal funds. Indeed, the Hunters use of campaign funds appeared to increase
21 exponentially while Joe Kasper was occupied with other concerns.

22 On occasion, Hunter personally helped out with the family shopping. For example,
23 on July 24, 2015, he used his campaign credit card at Albertson's to purchase \$196.58 in
24 groceries (including milk, wine, hot dogs, and dog food) – and then added on an additional
25

26 ³⁰ Based upon the signed receipts, it appears that Hunter gave his campaign credit
27 card to his wife so she could charge these and many other expenses in 2015. Indeed, this
28 tactic was one of the many ways that Hunter conspired with his wife to steal campaign
funds.

1 \$100 in cash back. *See* Exhibit 251. On August 22, 2015, he spent \$95.81 in campaign
2 funds to purchase groceries at Safeway. *See* Exhibit 252. On September 13, he used
3 \$638.44 in campaign funds at Costco to purchase a variety of groceries (including several
4 bottles of wine, Frontline, dog treats, bath towels, and a large quantity of food), and then
5 added \$60 in cash back. *See* Exhibit 253. That same day, he also purchased \$121.74 in
6 groceries and party supplies at Albertson's. *See* Exhibit 254. And, on September 22, he
7 returned to Costco where he spent \$553.89 in campaign funds on family groceries, plus
8 muscle milk, fleece jogging pants, and kale, and then added \$60 cash back. *See* Exhibit
9 255.

10 On September 15, 2015, Hunter also used campaign funds to shop for a new iMac
11 computer at the Fashion Valley Apple Store.³¹ Although the bill came to \$2,503, he was
12 only able to put \$2,000 on his campaign card. To cover the rest, he used his personal debit
13 card. *See* Exhibit 257. Upon learning of this expense, Margaret asked Hunter to please
14 send her the receipt as she needed to get the money back from Marston immediately. She
15 then playfully warned Hunter they "can't buy shoes today babe" – as she recognized that
16 there would be no money in their personal account. *See* Exhibit 258.

17 In late September, the Hunters used campaign funds to partially offset the costs of a
18 weekend trip to Disneyland followed by a Feis competition in Los Angeles. While they
19 fronted a bit more than \$500 on their personal debit card, they illegally charged at least that
20 much to the campaign. Among other things, the Hunters used campaign funds to pay
21 \$420.68 in hotel charges at the Westin LAX, \$118.46 in gas at Chevron, \$58.31 in food at
22 Royal Street Café, \$229.44 in souvenirs at the Star Trader gift shop, including two Minnie
23 Mouse ear headbands, an orange Star Wars droid knit beanie, and a raglan-sleeve black-
24 and-gray Star Wars girls T-shirt (photos from the outing show the Hunter family sporting
25 this gear as they toured the park), and the \$140 Feis entry fee. *See* Exhibit 259.

27 ³¹ During the 2017 FBI search of the Hunter residence this iMac computer was found
28 in the bedroom of one of Hunter's children.

1 While the Hunters had taken their theft of campaign funds to a new level in 2015, it
2 reached its zenith in November of that year when they took the entire family for a luxury
3 vacation to Rome, Florence, Naples, Positano, and Pompeii. Prior to departing for Italy,
4 the Hunters stopped in D.C. for a two-night layover before heading to Europe. While in
5 D.C., they spent \$1,747.70 in campaign funds for their brief stay at the Hyatt in
6 Washington, \$389.11 at Hertz on a car rental, \$426 to dine out, and \$670 on shopping. *See*
7 Exhibit XXX. In Italy, they were no more frugal. Indeed, the Hunter family spent more
8 than \$3,500 in campaign funds on hotels, restaurants, train tickets, museum fees, and
9 souvenirs. *See* Exhibit XXX. On their way home, the Hunters spent an additional \$XX1.16
10 at the Hyatt so the family could have an extra night in Washington to ease their journey
11 home.³² *See* Exhibit XXX. In total, the Hunters spent \$14,261.33 (including airfare) in
12 Campaign funds to finance – in the only way imaginable given their personal finances –
13 their family vacation.

14 As a “cover” story to justify their Italian vacation, right before they departed on their
15 long-scheduled trip, Hunter and Margaret asked Kasper to look into a possible visit to a
16 military base in Naples. Although Kasper was able to arrange the visit, Hunter “didn’t end
17 up doing it,” because logistical challenges prevented the tour from being scheduled when
18 it was convenient for the Hunters. *See* Exhibit 261. A few weeks after they returned,
19 Margaret revealed the true purpose of the trip in an email to a friend: “Italy was amazing.
20 Truly our best family trip so far. Like that saying ‘if traveling was free, you’d never see
21 me again’!” *See* Exhibit 262.

22 Upon returning to the United States, the Hunters continued to spend campaign funds
23 together. They made plans to have dinner downtown with their best friends over the
24 Christmas break. *See* Exhibit 263 (“let’s get nutty Dec 21. Bar hop after dinner[.]”). On
25 December 21, as planned, the two couples had dinner at Lou & Mickey’s; Hunter picked
26

27 ³² Although Margaret and their children only stayed at the Hyatt for a single night,
28 Hunter stayed an additional evening at the campaign’s expense and used the opportunity
to party with friends.

up the \$677 tab with campaign funds (but still augmented their own finances by pocketing the cash tossed in by their friends for their portion of the meal). The Hunters also used \$304.50 in campaign funds to pay for a room at the Hard Rock Hotel, and an additional \$155.52 to cover the minibar expenses at checkout. *See* Exhibit 264.³³

b. 2016: A New Year – Same Old Illegal Spending

In January 2016, the Hunters spent more than \$5,000 in campaign funds on personal expenses, funding all the same types of household goods, shopping trips, vacations, and entertainment as done in months past. For example, Margaret used \$835.50 in campaign funds to buy tickets for the family to see Riverdance, \$707.84 to take the Hunter kids and their friends to SeaWorld; and \$520.18 at Target to buy sheets, towels, a drip coffee maker, curtains, and toilet paper. *See* Exhibit 265. For his part, Hunter used \$276.15 to golf at Barona with his brother, his dad, and his son, \$150.56 to have drinks at Hooley’s Irish Pub with his brother, and \$140.62 to golf at Mount Woodson Golf Club with his brother, his dad, and a friend he referred to as his “happy time guy.” *See* Exhibit 266. And Hunter and Margaret took their kids to Arizona on the weekend of January 15, 2016, for another vacation centered around an Irish dancing competition. With no personal funds available to finance this trip, the Hunters used campaign funds to settle their \$632.53 hotel bill at the Arizona Grand Resort, and \$104.89 to buy gas for the drive. *See* Exhibit 267.

c. Kasper Begins to Unravel (at least part of) the Crime

In preparing Hunter’s Year-End FEC report, Marston’s assistant, Brenda Hankins, inquired – among other things – about the credit card charges related to the Hunters Italy vacation. In response, on January 27, 2016, Margaret kept to the “cover story” that she and Hunter had concocted to conceal their theft:

³³ In total, throughout the month of December, Margaret alone used \$7,878 in campaign funds to pay a variety of personal expenses, including \$1,746.26 at Costco for assorted groceries, an Xbox, computer games and a 60” flat screen TV for their home, \$374.19 at Home Depot and Pier 1 for Christmas decorations, and \$189.53 at Pottery Barn for home furnishings.

1 THESE PARTICULAR CHARGES WERE MOSTLY MILITARY /
2 DEFENSE MEET RELATED[.] SMALL PORTIONS PERSONAL
3 APPROX \$600 WORTH[.]

4 (emphasis in original). *See* Exhibit 268. Based upon this information, Hankins dutifully
5 prepared a draft FEC report and circulated it on January 28, 2016 to Marston, Margaret,
6 and Joe Kasper. In his role as Chief of Staff, Kasper continued to focus solely on the cash
7 on hand figures when reviewing Marston’s FEC filings. As a result, he immediately
8 noticed that the Campaign’s cash on hand had experienced a significant drop. When he
9 discussed this with Marston, the Treasurer pointed out that while their total cash raised had
10 increased since the last election cycle two years earlier, the Campaign’s expenses had
11 increased significantly – from \$67,244 in 2013 to \$123,180 in 2015. Marston advised
12 Kasper that it was “[p]robably worth taking a closer look at expenses.” *See* Exhibit 269.

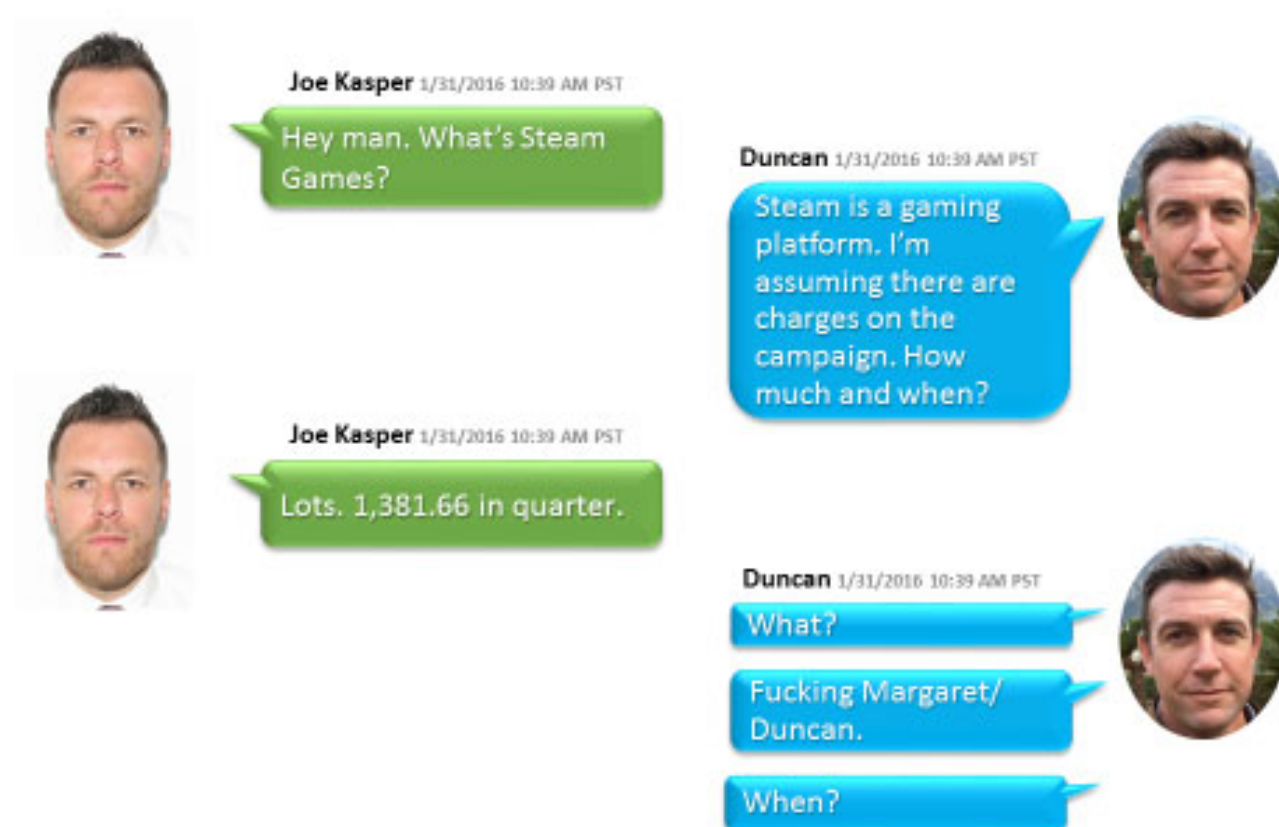
13 This observation resulted in Kasper immediately forwarding the 2013-to-2015
14 comparison to Hunter – and specifically telling him that it was important that he examine
15 the “disbursements” – that is, the campaign spending. *See* Exhibit 270 (“That’s a 50k
16 swing in disbursements, for two quarters in a row.”). More importantly, Kasper—for the
17 first time—read through the FEC report with a critical eye and actually reviewed the
18 campaign expenditures. *See* Exhibit 270 (Kasper GJT at 106).³⁴

19 Without difficulty, Kasper quickly amassed a list of more than \$20,000 in
20 questionable expenditures that quarter, comprised of categories such as videogames,
21 utilities, Uber rides, grocery stores, “office supplies” (which included Best Buy, Target,
22 Walmart, Rite Aid, and others), and “baskets” (including Macy’s and Nordstrom’s). *See*
23 Exhibit 272. On Sunday, January 31, 2016, Kasper sent his “back of the envelope”
24 calculations to Hunter as he perceived that these charges could be seen as converting

25 ³⁴ During the weekend that Kasper reviewed the Campaign expenditures, Hunter
26 coincidentally was busy withdrawing \$80 in campaign funds from a San Diego ATM (with
27 no campaign event on his calendar) and Margaret was using campaign funds to buy
28 Clearasil and laundry detergent at Walgreens (\$67.65), a pair of shoes at Famous Footwear
(\$43.49), a late Saturday night snack for five at Denny’s (\$70), and gas on the way home
from Denny’s (\$53.53). *See* Exhibit 271.

campaign funds for personal use – an alarming term of art that Kasper and Hunter both knew carried grave political and legal risks. *See* Exhibit 273 (Kasper GJT at 118).

Rather than take responsibility for his improper spending (including the family’s Italian vacation), Hunter’s immediate response was to blame his wife and child for the improper charges which were “scattered over 50 to 60 pages” in the draft FEC report:



See Exhibit 274. Kasper now fully understood the magnitude of the problem – and made sure that Hunter too was fully aware of their precarious situation. *See* Exhibit 275 (Kasper GJT at 122).

The next day, Monday February 1, 2016, Marston sent Margaret an email, copying Kasper, with all the recent credit card activity on the Hunters’ campaign credit cards. *See* Exhibit XXX? Kasper concluded that the charges on their face—which included fast food, kids’ school lunches, and tuition payments—were not legitimate campaign expenses.

1 Despite being confronted directly by his staff, Hunter neither admitted his role in the
2 improper charging nor took positive action to correct the problem. Rather—as he had done
3 in years past when presented with the same information from others—Hunter simply left
4 it to Kasper to address the problem, present it to the media and, “figure out a way forward.”
5 *See* Exhibit 276 (Kasper GJT at 125, 128).

6 In spite of Kasper’s specific focus on improper expenditures, Hunter and Margaret
7 both continued using their campaign cards to spend money on personal things. For
8 example, on February 3, 2016, Hunter used campaign funds to pay for Ubers to and from
9 a friend’s house for “[h]appy time and snacks and drinks.” *See* Exhibit XXX? The
10 following day, Margaret used \$57.57 in campaign funds at Chevron; and, three days later
11 she spent \$440 at Costco for peanut butter, jet-dry, diet coke, milk, ground beef,
12 blueberries, and other family groceries. *See* Exhibit XXX? Indeed, despite Kasper’s dire
13 warnings and deadly serious terminology, and with Hunter’s full knowledge of the
14 improper spending during the preceding months and years, Margaret alone spent more than
15 \$5,000 in personal expenses during February. With the Hunter family finances still in
16 disarray, Margaret continued to spend money to fund family trips, *see* Exhibit XXX; pay
17 for family groceries, *see* Exhibit XXX; buy gas and fast food, *see* Exhibit XXX; shop, *see*
18 Exhibit XXX; and withdraw more than \$1,000 cash from ATMs. *See* Exhibit 277.³⁵

19 The month of March saw no change in the Hunter family finances and no reduction
20 in their illegal use of campaign funds. Margaret charged more than \$8,000 on purely
21 personal expenses, including groceries at Albertson’s and Costco; gas for the family car;
22 dining at various restaurants; movie tickets; a new iPhone at the Apple Store; children’s
23 books at Barnes & Noble; videogame equipment at Best Buy; clothing for her kids at the
24

25 ³⁵ Even with their family bank account in the “red” and incurring numerous
26 insufficient fund fees, Margaret spent more than \$1,000 taking the Hunter girls to another
27 Feis in Orange County. Despite remaining in San Diego, Hunter was well aware of the
28 vacation and texted his congratulations when he heard about his daughter’s win (“You are
the Tom Brady of Irish dancing”). *See* Exhibit 278.

1 Emerald Surf shop; plane tickets for her nephew; and \$600 in cash withdrawals at ATMs.
2 *See Exhibit 279.*

3 If Margaret's charges in March were excessive, Hunter was similarly expansive with
4 his illegal use of campaign funds. As the month started, Hunter continued his use of
5 campaign funds to pay for travel to visit friends and girlfriends. Then, on March 4, 2016,
6 Hunter celebrated his brother Sam's first visit to Washington (for a friend's bachelor party)
7 by hosting a weekend of partying with more than \$1,300 in campaign funds. To celebrate,
8 Hunter texted two of his good friends: "Dude[s], Sam is in town We need to have fun,
9 this is his first time visiting his [C]ongressman brother in DC[.]" *See Exhibit 280.*

10 The weekend of fun started at Jack Rose Saloon where the bachelor party was in full
11 swing. Hunter spent \$354.25 in Campaign funds to purchase numerous drinks, including
12 10 shots of bourbon, several vodka sodas, 2 old fashioned cocktails, and many, many beers.
13 The party continued into the wee hours, and at 1:00 am, Hunter spent an additional \$462.46
14 in campaign funds to purchase 30 shots of tequila and one steak at the nearby El Tamarindo.
15 Finally, at 5:25 a.m., they called it a night and Hunter used campaign funds to pick up the
16 \$8.23 Uber fare back the bachelor's home. *See Exhibit 281.*

17 The next day, March 5, 2016, Hunter took Sam to breakfast at Meridian Pint with
18 one of Hunter's good friends. Hunter's friend picked up the tab. That evening, Hunter
19 spent \$39.88 in campaign funds to take an Uber with Sam to Stoney's Bar and Restaurant.
20 At Stoney's Hunter used \$127.56 in campaign funds to pay for three meals and five beers.
21 Then he paid \$32.89 to Uber from Stoney's to the Capitol, where he gave his brother and
22 a couple of friends from the bachelor party a private Saturday night tour. Following the
23 tour, Hunter spent another \$25.25 in campaign funds to Uber with Sam to Fado's Irish Pub.
24 Hunter, Sam, and a few friends stayed at the pub drinking and watching the Conor
25 McGregor v. Nate Diaz fight. At 1:34 a.m., Hunter closed out the tab with \$220.63 in
26 campaign funds for food and drink, including 4 house vodkas, 3 Grey Goose vodkas, 2
27 IPAs, 3 Light Draft Beers, 1 Harp Lager, 1 DC Brau, 1 The Corruption IPA, 3 Stella Artois,
28 1 Lagunitas, 2 Guinness Stouts, 1 cider, and 1 fish cup with chips. *See Exhibit 282.*

1 This excessive spending may appear stunning because it occurred many weeks *after*
2 Kasper's dire warning that Hunter appeared to be converting campaign funds to personal
3 use. Hunter, however, needed no warning as he had been using campaign funds in this
4 manner for years and years. Simply stated, Hunter believed he was immune from detection
5 while using funds to dine and drink in D.C., and he simply had no interest in stopping or
6 taking heed as he wished to continue using campaign funds to finance his family's lifestyle.

7 The following week, Hunter continued to use his campaign credit card to pay for
8 even more nights out on the town and Uber rides to party with his friends. He also used it
9 freely at bars, regardless of whether there was a legitimate business or campaign purpose.
10 For example, he used more than \$1,000 in campaign funds to pay for lodging (at the Liaison
11 Hotel), food, and transportation for one of Margaret's best friends to travel to D.C. Hunter
12 introduced Margaret's friend to his Washington pals and everyone apparently had a fine
13 time. *See* Exhibit 283 (Afterwards, Hunter texted his friends, "I had a blast.").

14 Upon returning home at the end of the month, Hunter was no more circumspect
15 regarding the improper use of campaign funds.³⁶ On Thursday, March 24, 2016, he spent
16 \$145.55 at the Riverwalk Golf Club to play golf with two friends. Illustrating the personal
17 nature of the golf outing, Hunter spent a bit more than \$50 in personal funds on incidentals
18 while at the course. However, lacking the money for the greens fees, he put them on his
19 campaign credit card. And, on March 27, 2016, he and Margaret spent \$669.07 at the Hotel
20 del Coronado for an Easter Sunday Brunch in the Crown Room. *See* Exhibit 284. On both
21 of these occasions, the Hunters' family bank account was in the "red" and racking up
22 insufficient funds fees.

23 The Hunters' profligate spending did not go unnoticed by his newly vigilant Chief
24 of Staff. On March 31, 2016, at the end of the first FEC reporting quarter, Kasper texted

25 ³⁶ As previously indicated, Hunter kept a close personal eye on the family bank
26 account and was all too aware of their need to use campaign funds to maintain their
27 lifestyle. This was again illustrated on March 21, 2016, by a text he sent to their kids upon
28 noticing \$32 in iTunes charges (as well as three Xbox charges totaling an additional \$39).
See Exhibit 285 ("Do not charge anything in iTunes until next month please.").

1 Hunter, “Burned 150K. Highest to date.... [W]e gotta figure out the spending. Can’t
2 sustain that.” See Exhibit XXX. One of the purchases in question was a \$1,200 charge to
3 the Easy Open Door Company. Kasper described that as “the straw that broke the camel’s
4 back,” when he realized that they were “shifting from political to criminal . . . behavior.”
5 See Exhibit 286 (Kasper GJT at 135-36).

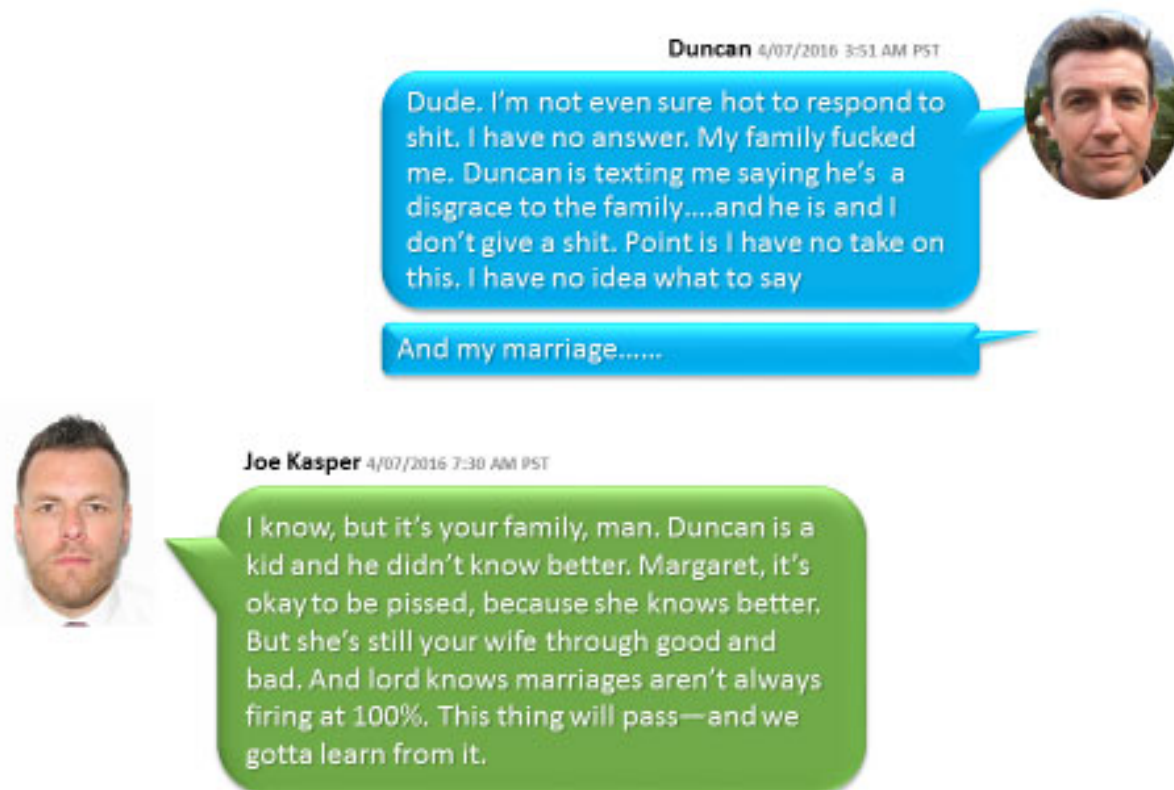
6 d. The FEC’s Initial Inquiry

7 As it turned out, April was indeed the cruelest month for the Hunter campaign.
8 Kasper’s prescient fears (which had been building since the beginning of the year) were
9 realized just a few days later, when, on April 4, 2016, the FEC publicly inquired of the
10 campaign about charges to Christian Unified Schools and online gaming outlet Steam
11 Games that were listed on the 2015 Year-End Report as “personal expense—to be paid
12 back.” See Exhibit XXX [FEC letter]. This notice confirmed what Kasper and Hunter
13 “both already knew,” that personal use of campaign funds—if discovered—would not be
14 tolerated. See Exhibit 287 (Kasper GJT at 138).

15 On April 5, 2016, Morgan Cook, a reporter from The San Diego Union-Tribune,
16 contacted Kasper and Marston to ask questions. See Exhibit XXX [email from Cook to
17 Marston]. As the news was breaking, Hunter was in Israel on a Congressional Delegation.
18 At 9:11 am PCT, Hunter called Kasper; ten minutes later, he called Margaret. See Exhibit
19 XXX. At 11:40 am on April 5, the Union-Tribune published a story about the Steam
20 Games charges and the FEC inquiry. See San Diego Union-Tribune, *FEC questions*
21 *Duncan Hunter’s video game charges* (April 5, 2016). By that time, Kasper had already
22 told the Union-Tribune that the Congressman’s teenage son used his father’s credit card
23 for one game, and then several unauthorized charges resulted after the father tried to close
24 access to the website. Kasper said that Hunter was trying to have the unauthorized charges
25 reversed before repaying his campaign account. See Exhibit 288 (Kasper GJT at 139).
26 This was the first of many misleading and false statements Hunter dreamed up to conceal
27 the full extent and magnitude of his and Margaret’s improper use of campaign funds.

For her part, Margaret immediately got to work trying to cover up the theft. On April 5, 2016, she called the First National Bank of Omaha (where the campaign credit card was issued) to report the Steam Games charges as fraudulent. In the call, which was recorded and preserved, Margaret lied and said that she had already reported the charges as fraudulent, and said she was simply calling to “check on” the status. When asked whether any kids or teenagers had access to the card, she falsely told the agent, “no.” Based on her lies, the bank agreed to credit the \$1,300 in contested charges. In addition to calling the bank, Margaret told Marston and Kasper that she was sending personal checks for \$1,650, \$3,500, and \$1,000 to cover the charges she had made to Christian Unified Schools “to take care of” what she described as “errors made.” *See Exhibit 289.*

Rather than face his role in the misuse of campaign funds, Hunter continued to blame his problems on his family. When talking to his mother at 3 a.m., the morning after the story broke, Hunter told her: “My family has just destroyed me. They’ve ruined my life.” *See Exhibit 289 (L. Hunter GJT at 48, 57).* Hunter had a similar lack of personal remorse when talking with Kasper:



1 Based upon the emerging scandal, Hunter decided to cut his Israel trip short and come
2 home to address the problem. He flew back to California on April 9, 2016. *See* Exhibit
3 291 (Kasper GJT at 142).

4 Within a couple of days, the national press picked up the story; Kasper recognized
5 it was “just a matter of time” before the media found the next thing, then the next, and the
6 next. Kasper quickly recognized that this was Hunter’s number one issue and it
7 “[c]onsumed every minute of the day.” *See* Exhibit 292 (Kasper GJT at 140, 142, 147,
8 150). Although the full extent of the improper spending was still unclear, Kasper helped
9 Hunter determine what charges needed to be immediately paid back—what he described
10 as “the low hanging fruit.” Hunter, however, was financially strapped and could not come
11 up with enough money to cover even these charges. He told Kasper he would have to sell
12 his house, and even then he wouldn’t have the money “to pay back more than a few
13 thousand bucks” *See* Exhibit 294 (Kasper GJT at 146, 148, 149).

14 e. The 2016 First Quarterly FEC Report

15 In light of the media attention, it was clear that the Hunter Campaign’s next FEC
16 filing would be pulled apart by reporters. On April 8, 2016, Kasper pointed this out in an
17 email to Hunter, Margaret, and Marston, noting: “I talked to Chris [Marston] and WE are
18 going to have to review, in detail the q1 report, before it’s officially filed. It will be
19 reviewed by media. And phone calls will be made.” *See* Exhibit 295. As Kasper testified,
20 “it was vitally important...that going forward at least [they] get the charges as close to
21 accurate as possible.” Apart from any potential criminal charges, Kasper recognized that
22 if they did not find a solution, there was a good chance Hunter would lose his bid for re-
23 election in the fall and he and the rest of Hunter’s staff would lose their jobs. *See* Exhibit
24 296 (Kasper GJT at 151).

25 Hunter recognized that their next FEC filing was extremely important, and there
26 were serious legal consequences if anything on the report was inaccurate or improper. As
27 a result, both Kasper and Hunter went over it together “with a fine-toothed comb to make
28 sure that [Hunter] could ensure it was as accurate as possible.” According to Kasper, they

1 looked *at each individual charge* to ensure that every one of the charges was reported
2 accurately, and that Margaret had not included anything that was inappropriate. *See*
3 Exhibit 297 (Kasper GJT at 156-57).

4 However, a review of this report easily reveals that the Hunters' personal spending
5 in January through March was extraordinary, perhaps at record highs. Among other things,
6 the draft report included spending at places (like jewelry and other stores in Italy, for
7 example) that were clearly, facially, improper. Indeed, among the 189-pages of
8 disclosures, the FEC draft report included payments for the following obviously personal
9 expenses: 12 family grocery trips to Albertsons and Trader Joe's; 37 trips to Chevron, Shell
10 and Exxon; three major shopping expeditions at Costco; the "mistaken charge" at the Easy
11 Open Door Company; numerous charges for the kid's lunch program at Ki's; fast food
12 meals at Jack in the Box, Pizza Hut, Rubios, Starbucks, and California Pizza Kitchen;
13 retail store shopping at Nordstrom, Rite Aid, Target, Dick's Sporting Goods, Home Depot,
14 Walmart, and Pier 1 Imports; movie tickets at Fandango, charges at Sea World, and all of
15 the charges from the Hunters' trip to Italy. *See* Exhibit 298.

16 These charges (many of them made by Hunter or in his presence) were clearly
17 personal, and Hunter certainly recognized the importance of ensuring that this filing was
18 accurate. Yet, he continued to conceal the improper personal spending, and thereby
19 allowed and caused his Treasurer to file this false FEC report (as, indeed, he had done so
20 many times in the past). And, just before midnight on April 15, that is exactly what
21 occurred. During this filing period, Hunter also allowed Marston and Hankins to file an
22 amended version of his third quarter 2015 report, which re-classified the \$3,500 payment
23 to Christian Unified Schools as a "Mistaken Transaction – Refunded 4/5/16" (in the
24 original report filed October 15, 2015 it was described as an "Annual Fundraising
25 Donation") rather than admitting it was a payment towards their children's tuition arrears.
26 Similarly, Hunter allowed the amended report to falsely describe the many Steam Games
27 purchases as "fraudulent charges that have been challenged and refunded" (the original
28

1 report listed these charges as “personal”) rather than simply admit they were attributed to
2 their child’s videogame playing. *See* Exhibit 299.

3 After the Campaign’s 2016 First Quarterly Report was filed on April 15, 2016, the
4 media, as expected, picked it apart and began asking more questions. In consultation with
5 Hunter, Kasper began to spin the Hunters’ personal expenditures as being appropriate
6 campaign spending. For example, the press noticed around \$10,000 in charges made in
7 Italy surrounding what they concluded (based on Hunter’s personal Facebook posts and
8 photos) had been, in fact, a family vacation. Relying on Hunter’s instructions, Kasper told
9 the *Washington Post* that the trip was “for an arrangement with the military overseas....”
10 Similarly, Kasper told the media that the purchase of a watch for Hunter’s son at an Italian
11 jewelry store was a “donation to a wounded warrior.” *See* Exhibit 300 (Kasper GJT at
12 99).³⁷

13 f. The Hunters Continue Converting Campaign Funds

14 In face of the staff’s and the media’s scrutiny into campaign spending, the Hunters
15 amazingly both continued to use campaign funds to pay personal expenses even after the
16 FEC meltdown in early April. Not surprisingly, Hunter was far more careful and limited
17 his personal spending to categories that were unlikely to raise suspicion, such as restaurant
18 and bar tabs, Uber rides, and golf outings. He also prudently cut off his wife’s access to
19 the campaign credit card (but continued paying her a \$3,000 monthly salary). Over the
20 next several months Hunter used his campaign credit card to pay for Ubers when partying
21 at his friends’ houses and to facilitate various romantic liaisons. He also continued to “mix
22 business with pleasure,” such as when he used campaign funds to take out his mother (who
23 visited Hunter in Washington for the First Lady’s Luncheon) for an opulent birthday
24 celebration at Del Frisco’s Double Eagle Steak House, which cost \$560.90 for just the two
25

26 ³⁷ Kasper has acknowledged misleading the press, and admitted that Hunter’s trip to
27 Italy was always intended to be a family vacation. *See* Exhibit 297 (Kasper GJT at 98-99).
28 Kasper did insist that the Hunters take the watch away from their son and donate it to a
wounded warrior, to make his statement to the media plausible.

1 of them (the bill covered \$218 on food, \$144 on liquor, \$36 on wine, \$15 on beer, and a \$4
2 cup of coffee). *See* Exhibit 301.³⁸

3 In June, the Hunters again improperly mixed business with pleasure when they paid
4 for a “staycation” at the Hotel del Coronado. The Hotel Del hosted a USO Gala on June
5 4, 2019. Using this event to mask their personal trip, the Hunters stayed overnight the
6 following day (after the event ended) with their family. In doing so, they spent \$356.43 at
7 Expedia on room charges, \$209.86 on dinner for five (including beers, cocktails, and wine,
8 and three virgin coladas – presumably, for their three kids – and another \$70 on parking
9 fees). Margaret used personal funds for \$689 in additional charges for more food, drinks,
10 and items at the Hotel Del gift shop. But then, she submitted a fraudulent request to the
11 campaign treasurer that her personal spending be reimbursed (falsely claiming to Marston
12 that they were for “Food and Bev” at USO events that Hunter “was hosting”). *See* Exhibit
13 302.

14 During the last weekend in June 2016, Hunter also spent campaign funds on items
15 that were all pleasure and no business. In particular, he spent the entire weekend partying
16 hard with several close friends. While the friends all split the tabs, Hunter picked up a
17 number of Uber rides and spent \$409.45 on Friday night at L’Hommage Bistro (including
18 9 Goose IPAs; 5 Stella Artois; 11 shots of Ketel One, Adele wine, Captain Morgan rum,
19 and 3 shots of Don Julio tequila). *See* Exhibit 303. On Saturday, the gang got back together
20 for brunch at Busboys & Poets (paid for by one of the others) and they planned on “day
21 drinking [in] either [C]hinatown or eastern market.” The next morning, he texted his
22 friends and described the weekend as “48 hrs of hard charging.” *See* Exhibit XXX.

23 Hunter continued this pattern for the remainder of the year, confining his illegal
24 spending mainly to restaurants, Uber expenses, and golf. For example, the Hunter family

25 ³⁸ Margaret’s behavior was no better. She used Hunter’s campaign credit card to
26 purchase a hotel stay (through Expedia) and plane tickets so that she could attend her
27 nephew’s high school graduation in Mississippi. And, prior to travelling to Mississippi, she
28 used the campaign’s Staples credit account to buy \$1,000 in restaurant and other gift cards
(e.g., Olive Garden, Applebees, Starbucks, and Visa) to finance her personal trip.

1 went to dinner at Sally's in the Hyatt at the Embarcadero to watch the July 4th fireworks
2 from the restaurant's outdoor patio. Although they paid the bill (which included two bottles
3 of Justin Cabernet, three beers, and food) with personal funds, Margaret requested \$446
4 reimbursement for the meal and parking. Hunter did not protest. *See* Exhibit 304.

5 On September 14, 2016, Hunter went out partying at an NRCC event and used \$32
6 in campaign funds to Uber back to the apartment of a woman with whom he was
7 romantically involved. The next morning (at 7:40 a.m.) he texted this woman that he
8 showed up drunk to Congressional basketball practice (which started at 7:00 a.m.) and was
9 "still drinking." *See* Exhibit 305. Hunter's calendar indicated that he was scheduled to
10 attend an 8:00 a.m. top-secret-level briefing of the Readiness Subcommittee of the House
11 Armed Services Committee that same morning

12 g. The Beginning of the End

13 In November 2016, Hunter released the results of an "audit" of his campaign
14 spending and indicated that he would repay additional money to his campaign. On
15 November 3, 2016, the *Union-Tribune* reported that Hunter said he would repay \$49,000
16 to his campaign.³⁹ According to the paper, Hunter announced:

17 While the charges were primarily authorized by the campaign, the buck stops
18 with me and I take full responsibility – including the responsibility to
19 determine and implement other structural changes to ensure errors are not
20 repeated. In taking these steps, I am fully confident that the right oversight
and controls are now in place.

21 ³⁹ It appears that Hunter contrived this figure to make it appear he was repaying
22 what he owed—when in fact this represented the maximum amount of money Hunter was
23 able to raise in repayment. Due to their woeful financial position, the Hunters were forced
24 to obtain a third mortgage from a hard money lender in order to raise any additional funds
25 to repay the campaign. The Hunters still had \$471,447 outstanding on their first and second
26 mortgages and had terrible credit. They could obtain a loan only for about \$50,000 after
27 closing costs and fees. To obtain this short-term loan, the Hunters were forced to sell their
28 house. In December 2016, they sold their Alpine residence for \$600,000 (minus closing
and other costs) and moved in with Hunter's parents. In other words, it seems that Hunter
pretended to the public that he was making his campaign whole, when in fact he knew this
repayment was woefully inadequate.

1 See San Diego Union-Tribune, *Hunter repays campaign \$49,000 in personal expenses*
2 (November 3, 2016). These were strong words from someone who had known his
3 campaign funds were being used to pay for his family groceries and other personal items
4 since at least 2010; and, despite it all, was still paying his wife a \$3,000 monthly salary
5 even as late as November 2016. The article quoted Hunter’s statement that a “financial
6 audit” was conducted, which “revealed additional unauthorized expenditures that [he
7 would] be reimbursing to the campaign today.” See Exhibit 306.

8 In fact, Hunter’s “independent” auditors came up with just \$48,650 in charges during
9 2015 and 2016—which was, as noted, coincidentally all the money the Hunters were able
10 to pay. In other words, it appears this “audit” was rigged to allow Hunter to claim, falsely,
11 that he had repaid his entire debt, and to deceive the public into believing that he had taken
12 responsibility. In fact, Hunter should have known that this repayment was wholly
13 inadequate, that the dates and amounts were arbitrary, and that it was designed only to
14 avoid scrutiny by the FEC, the media, and the public.

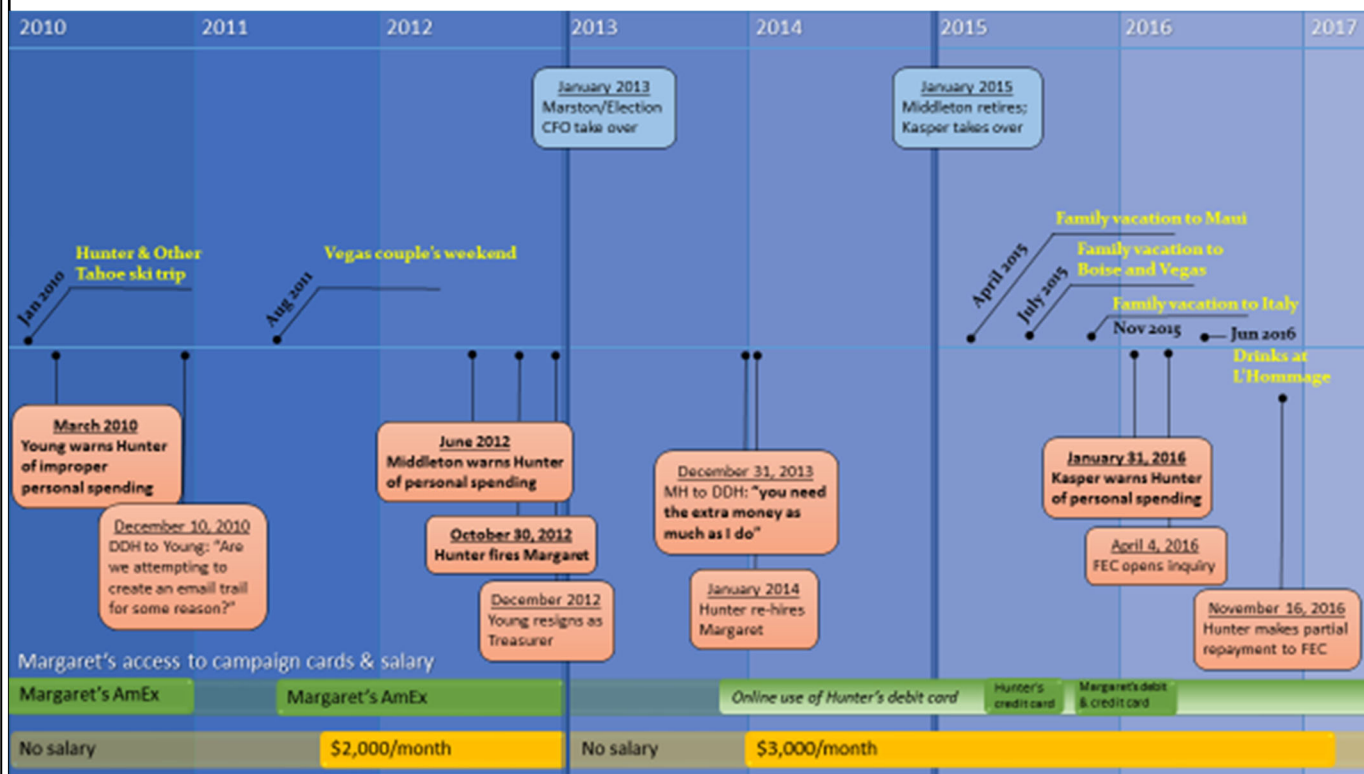
15 On November 16, 2016, eight days after the general election, Marston filed a
16 “Miscellaneous Report to the FEC” outlining the results of this self-described “independent
17 financial review of all expenditures for the 2015-2016 cycle[.]” The campaign had
18 “identified unauthorized expenditures that have been deemed personal in nature.” “In
19 addition” to those expenditures identified by the campaign as personal, it had also “deemed
20 any expense without adequate support as necessary for reimbursement”—but only “out of
21 an abundance of caution[.]” The letter did not distinguish which was which, and only
22 provided a lengthy list of charges that would be reimbursed. The result was that the
23 Hunters would repay \$48,650 to the campaign. See Exhibit 307.

24 Following this “audit” and the FEC disclosure, the Hunters charged fewer personal
25 expenses to the campaign. But there were occasional slip ups. For example, Hunter used
26 more than \$2,500 in campaign funds to finance yet another weekend of partying in Las
27 Vegas from January 14 to 16, 2017, where he met up with three of his good friends. Finally,
28 on February 23, 2017, the illegal spending ceased after the FBI conducted searches at

Hunter's home, his district Congressional office, his campaign storage unit, and at the Virginia offices of Election CFO. At that same time, Margaret's salary payments also ended. The campaign eventually hired a new campaign manager, (who was one of Hunter's regular golfing buddies) at a fraction of the salary they had been paying Margaret.

h. Rough Graphic of Timing of Selected Events

While it is impossible to depict all relevant events, the following chart shows Margaret Hunter's access to campaign credit cards over time charted against: (i) her salary; (ii) selected personal expenditures; selected warnings from Campaign Treasurers and Congressional staff about improper spending; and (iv) significant personnel changes among individuals with Campaign oversight responsibility:



III.

SENTENCING RECOMMENDATION

As is always the case, the United States' analysis begins with a consideration of the United States Sentencing Guidelines ("Guidelines"). Although the guidelines are advisory, this Court is required to properly calculate and consider them when sentencing. See 18

U.S.C. §§ 3553(a)(4) and (a)(5); *United States v. Booker*, 543 U.S. 220, 264 (2005) (“district courts . . . must [take Guidelines] into account when sentencing.”); *Rita v. United States*, 551 U.S. 338, 351 (2007) (observing that a district court should begin all sentencing proceedings by correctly calculating the applicable Guidelines range); *Gall v. United States*, 552 U.S. 38, 49 (2007) (“ . . . to secure nationwide consistency, the Guidelines should be the starting point and the initial benchmark.”).

A. Sentencing Guidelines

The Court’s task is made somewhat easier as the United States, Hunter, and the Probation Department all agree as to the appropriate Guidelines calculations:

Base Offense Level [USSG §2X1.1 / §2C1.8]	8
Value > \$150,000 [USSG §2C1.8(b) / §2B1.1(b)(1)(F)]	+10
More than 30 Transactions [USSG §2C1.8(b)(4)]	+ 2
Abuse of Position of Trust [USSG §3B1.3]	+ 2
Acceptance of Responsibility [USSG §3E1.1]	- 3
Total Offense Level	19

The Guidelines mandated adjustments to the base offense level therefore result in a total offense level of 19 and a sentencing range of 30 to 37 months. None of this disputed.

Yet, as the Court is well aware, this is only the initial stage of the required analysis. Along with the Guidelines considerations, the Court must consider a number of other factors to ensure that it imposes a sentence “sufficient, but not greater than necessary” to (i) reflect the seriousness of the offense, to promote respect for the law, and to provide just punishment for the offense; (ii) afford adequate deterrence to criminal conduct; (iii) protect the public from further crimes of the defendant; and (iv) provide the defendant with any

needed educational or vocational training, medical care, or other correctional treatment.
See generally Title 18, United States Code, Section 3553(a).⁴⁰

The parties and the Probation Department once again all agree with the propriety of the following Departures / Variances:

Total Offense Level	19
Departure [USSG §5H1.11 / 18 USC § 3553(a)]	- 4
Combination of Circumstances [USSG §5K2.0 / 18 USC § 3553(a)]	- 4
Resulting Guideline Range	11

In other words, the parties agreed that consideration of the additional factors indicated in the Guidelines and by Congress in Section 3553(a) result in a final offense level of 11 and a sentencing range of 8 to 14 months.

1. Military Service (USSG §5H1.11)

“Our Nation has a long tradition of according leniency to veterans in recognition of their service, especially for those who fought on the front lines...” *See Porter v. McCollum*, 558 U.S. 30, 43 (2009). Nevertheless, granting a departure on this ground is not automatic. *See, e.g., United States v. Theunick*, 651 F.3d 578 (6th Cir. 2011). Indeed, military service should be considered only if it is present to an unusual degree and distinguishes the case from the typical cases covered by the guidelines. *Koon v. United States*, 518 U.S. 81, 96 (1996).

The United States finds it significant that Hunter volunteered to join the United States Marine Corps after witnessing the September 11, 2001 attack on the World Trade

⁴⁰ Section 3553(a) further directs the Court to consider: (1) the nature and circumstances of the offense and the history and characteristics of the defendant; (2) the statutory purposes noted above; (3) the kinds of sentences available; (4) the kinds of sentences and the sentencing range as set forth in the Sentencing Guidelines; (5) the Sentencing Guidelines policy statements; (6) the need to avoid unwarranted sentencing disparities; and (7) the need to provide restitution to any victims of the offense. 18 U.S.C. § 3553(a).

Center. Motivated by a desire to protect his country and fight terrorism, Hunter quit a promising job and left behind his wife and 1-year old son upon entering Officer Candidate School (“OSC”). After graduating OSC as a 2nd Lieutenant, Hunter successfully completed two tours of duty in Iraq as a field artillery officer. During his second tour of duty, he fought in the Battle of Fallujah where he witnessed combat firsthand. This experience undoubtedly had a profound and lasting effect.

After he was discharged from the Marine Corps in 2005, Hunter’s family (which was now comprised of his wife and three small children) moved to Idaho, where Hunter worked at his uncle’s construction company. In 2008, Hunter agreed to run for his father’s former congressional seat as he wished to serve as “voice for the new wave of war veterans.” *See* Hunter Letter (Dkt. 120) at 2. During the ensuing political campaign, Hunter was recalled to active service and served a third tour of duty in Afghanistan.⁴¹ During his time in service, Hunter received a number of decorations and citations (e.g., Combat Action Ribbon; Navy and Marine Corps Achievement Medal; Iraq Campaign Medal; Global War on Terrorism Service Medal; Sea Service Deployment Ribbon; Global War on Terrorism Expeditionary Medal; National Defense Service Medal; and Navy Achievement Medal). In 2013, Hunter was honorably discharged from the USMC Reserves as a Major.

When examining Hunter’s overall military service and the resulting effects upon his life, the United States believes that a 4-level downward departure/variance is warranted. This adjustment is suggested not only by the particular facts of his case (which, as noted, are unique), but by the case law which demonstrates that many other criminal offenders have been given similar consideration. *See e.g., United States v. Chapman*, 209 Fed. Appx. 3 (1st Cir. 2006) (finding it reasonable for lower court to depart downward from 70-87 month range and sentence defendant to 30-months based upon defendant’s military service

⁴¹ At the time, there were no combat veterans from either Iraq or Afghanistan serving in Congress. Similarly, Hunter was the only individual who was actively campaigning for a seat in Congress when recalled to active duty—a distinction worthy of note.

1 and other factors); *United States v. Canova*, 412 F.3d 331, 358 (2d Cir. 2005) (finding --
2 in case involving multi-million-dollar Medicare fraud – that it was reasonable to depart
3 downward to a sentence of probation in consideration of defendant’s extensive, exemplary
4 service as a volunteer firefighter; and six-year Marine Corps service); *United States v.*
5 *Bruder*, 103 F.Supp.2d 155 (E.D.N.Y. 2000), rev’d in part, vacated in part, by *United States*
6 *v. Schwarz*, 283 F.3d 76 (2d Cir. 2002) (appropriate to depart downward four offense
7 levels based, in part, on defendant’s military service in the Marine Corps, which included
8 various decorations and honorable discharge); and *United States v. Williams*, 332 Fed.
9 Appx. 937 (5th Cir. 2009) (upholding downward departure from 188-235 months to 120
10 months as defendant’s pre-indictment military service was “admirable and worthy of
11 consideration as a mitigating factor”).

12 In the present case, Hunter’s military service is laudable and distinguishes his
13 situation from the typical cases covered by the guidelines. See *Koon*, 518 U.S. at 96.
14 Accordingly, the Probation Officer’s recommendation of a 4-level downward adjustment
15 is appropriate.

16 2. Combination of Circumstances (USSG §5K1.0(c)(2)(A))

17 The Court may also depart from the applicable guideline range based on a
18 combination of two or more offender characteristics or other circumstances, none of which
19 independently is sufficient to provide a basis for departure, only if each such offender
20 characteristic or other circumstance is present to a substantial degree. See USSG
21 §5K1.0(c)(2)(A). The Probation Department recommended an additional 4-level
22 downward “combination of circumstances” departure based upon: (i) Hunter’s eleven years
23 of service in the House of Representatives; (ii) his advocacy for veterans of the armed
24 forces; (iii) the impact to his family as he is the sole financial provider and both he and his
25 wife have been convicted of the offense; and (iv) post-traumatic stress disorder resulting
26
27
28

1 from his military service.⁴² Once again, all parties concur that this departure is warranted
2 under the particular facts of this case.

3 The Probation officer concluded that the departure due to Hunter's military service
4 (discussed above) does not fully address the fact that this service also resulted in Hunter
5 been evaluated by the Veteran's Administration as suffering from post-traumatic stress
6 disorder ("PTSD"). This type of mental condition can be considered, individually or in
7 combination with other offender characteristics, in determining whether a departure is
8 warranted. *See e.g.*, USSG §5H1.3 (Mental and Emotional Conditions). Sadly, due to the
9 stigma surrounding the disorder, Hunter—bowing to political, societal, and family
10 pressures—ignored and concealed the problem. Rather than seek professional assistance,
11 Hunter chose to treat it with alcohol and other alternative methods.

12 While the United States does not believe that PTSD excuses Hunter's criminal
13 conduct, when combined with his other circumstances this factor does warrant the Court's
14 consideration. *See e.g.*, *United States v. Malley*, 307 F.3d 1032, 1033-34 (9th Cir. 2002)
15 (approving five-level departure based upon combination of diminished capacity and
16 extraordinary acceptance of responsibility); *United States v. Risse*, 83 F.3d 212 (8th Cir.
17 1996) (court departed downward from a range of 57-71 months to 18 months based on
18 PTSD connected to Vietnam service); *United States v. Cantu*, 12 F.3d 1506 (9th Cir. 1993)
19 (downward departure warranted where defendant served in combat for two years and
20 suffered from a "grave affliction" including flashbacks and anxiety).

21
22 ⁴² The United States does not believe that Hunter's service in the House of
23 Representative militates in favor of leniency. First, to the extent that Hunter was able to
24 pass legislation, *see* PSR at 107-115, this made him ideally well situated to understand the
25 deleterious effect that committing campaign finance fraud has on our political system. He
26 chose to commit the crime anyway. Second, the merits of Hunter's record may be seen
27 differently based upon the "eye of the beholder. For example, his advocacy on behalf of
28 Chief Eddie Gallagher and other veterans that he discusses in the PSR may or may not be
laudable. *See* PSR at 110(f). It is the government's position that this Court should neither
give Hunter credit nor attempt to attach blame based upon his political acts, which have no
place in the sentencing calculus falling to the judicial branch.

1 A departure on these grounds is particularly apt because it appears that Hunter's
2 PTSD resulted in long periods of time where he was described by those closest to him as a
3 functional alcoholic. This behavior undoubtedly contributed to the disintegration of his
4 family life and a practical estrangement from his wife. *See United States v. Leon*, 341 F.3d
5 928, 932-33 (9th Cir. 2003) (departing six-levels for extraordinary family circumstances).
6 In part, this may have led Hunter to support and encourage his wife's misuse of campaign
7 funds as a way to purchase a bit of marital peace. Although this behavior in no way excuses
8 his own role in the theft of hundreds of thousands of dollars in campaign funds, the United
9 States agrees that the factors cited by Probation merit the recommended departure.

10 3. Dismissed and Uncharged Conduct (USSG §5K2.21)

11 Hunter pled guilty to a single count: Conspiracy. This does not reduce the
12 appropriate sentence, his Guidelines calculations or exposure, or his culpability in any way.
13 The applicable Guidelines calculations already incorporate all the relevant conduct and
14 mandated adjustments related to the dismissed counts. In legal parlance, they grouped.⁴³
15 If the dismissed counts would have, in fact, increased Hunter's sentence, this Court would
16 have been free to depart upward to reflect the actual seriousness of the offense. But no
17 such departure is warranted or needed here, because the conspiracy to which Hunter
18 pleaded guilty encompasses all of his criminal conduct and relevant conduct.

19 Indeed, USSG §5K2.21 specifically allows for the consideration of counts dismissed
20 as part of a plea agreement, if that conduct would have increased the offender's sentencing
21 range. *See e.g., United States v. White Twin*, 682 F.3d 773, 777 (8th Cir. 2012) (upward
22 departure may be imposed for dismissed or uncharged conduct in order to reflect the actual
23 seriousness of the offense based on conduct underlying a charge dismissed as part of a plea
24
25

26 ⁴³ Counts 2 through 44 and 58 through 60 group pursuant to USSG §3D1.2(d) (as
27 the Guidelines calculation on Count 1 considered the total amount of gain); and Counts 45
28 through 57 group pursuant to USSG §3D1.2(c) (being comprised of conduct that has
already been taken into account in the Count 1, namely USSG §3C1.1).

1 agreement). However, that is simply not the case here. To the contrary, Hunter is being
2 held responsible for the full range of his criminal conduct as set forth in the Indictment.

3 B. Avoiding Unwarranted Sentencing Disparities

4 As described above, after application of the Guidelines, including specific offense
5 enhancements in Section 2, and applicable departures in Section 3, Hunter’s properly
6 calculated Adjusted Offense Level is 11. According to the U.S. Probation Office, Hunter
7 has zero criminal history points, which places him in Criminal History Category I. These
8 calculations result in Hunter falling within an advisory sentencing range of 8-14 months.

9 Prior to concluding its analysis, this Court must still determine whether the
10 application of the resulting 8-14 month guideline range upholds “the sentencing statutes
11 basic aim of ensuring similar sentences for those who have committed similar crimes in
12 similar ways.” *United States v. Booker*, 543 U.S. 220, 252 (2005). Although the record is
13 replete with Representatives who have committed misconduct, there are surprisingly few
14 examples of elected officials who have been charged solely for embezzling campaign
15 funds.⁴⁴

16 1. Theft of Campaign Funds by U.S. Representatives

17 Further compounding the problem, there are almost no cases strictly confined to the
18 defalcation of campaign funds the Court may utilize to ensure that Hunter receives a similar
19

20 ⁴⁴ It bears note that comparison to Hunter’s fellow San Diego area Congressman,
21 Randy “Duke” Cunningham, are more facile than apt. *See* U.S. News, *Former Prosecutor*
22 *Says Corrupt Congressman Got ‘Great’ Deal* (December 3, 2019). Unlike Hunter,
23 Cunningham pled guilty to accepting millions of dollars in bribes for corruptly steering
24 tens of millions of dollars in defense contracts to his coconspirators. The resulting 100-
25 month sentence was predicated upon Cunningham being convicted of playing the central
26 role in the largest bribery scandal in Congressional history—not embezzling from his own
27 campaign funds. *See e.g., United States v. Wilkes*, 662 F.3d 524, 530-31 (9th 2011).
28 Furthermore, simply because an elected federal representative may be involved, this Court
can get very little pertinent guidance from political cases involving bribery, racketeering,
extortion, and other similar crimes. And while there are a number of cases involving the
illegal *donation* of campaign funds, these crimes are as dissimilar to the present case as the
crimes involving bribery. Accordingly, they carry little weight in the Court’s analysis.

1 sentence to those who committed similar crimes in similar ways. Perhaps, the only truly
2 analogous case is that of former Congressman Jesse Jackson, Jr., who pleaded guilty to one
3 count of wire and mail fraud in connection with his misuse of campaign funds. He was
4 sentenced to 30 months' imprisonment. *See e.g., The New York Times, Jesse Jackson Jr.,*
5 *Gets 30 Months*, (August 14, 2013). The many parallels between Jackson's case and
6 Hunter's case are striking.

7 Like Hunter, Jackson's father was involved with politics and supported his son's
8 entry into politics. Like Hunter, Jackson involved his wife in his crime and put her on his
9 campaign payroll. Like Hunter, Jackson's improper use of campaign funds involved
10 extravagant spending and marital infidelity.⁴⁵ And like Hunter, Jackson used campaign
11 funds for personal expenditures in order to support a lifestyle that he could otherwise not
12 afford.

13 The critical difference between the cases is that Jackson stole approximately
14 \$750,000 from his campaign funds over about four to five years, while Hunter stole
15 approximately \$250,000 over about 8 years. In other words, Jackson stole approximately
16 three times more money than Hunter (but engaged in the theft for about half as much time).
17 Although the quantum of the theft is just one factor (and, not the most important) it is
18 nevertheless a critical distinction between the cases that suggests – all other things being
19 equal – that Hunter receive a sentence less than Jackson's 30 months in custody.

20 2. Theft of Taxpayer Funds by U.S. Representatives

21 Although not entirely analogous, the Court might examine for guidance cases of
22 other elected officials who stole congressional (as opposed to campaign) funds.
23

24 ⁴⁵ Jackson's misuse of campaign funds was stunning by any measure, and—while
25 not including a pet rabbit—did include a \$43,000 gold-plated Rolex watch, more than
26 \$10,000 in Martin Luther King memorabilia, a \$3,900 fedora previously owned by Michael
27 Jackson, more than \$5,000 worth of fur capes and parkas purchased in Beverly Hills,
28 \$10,000 in children's furniture, and assorted luxury vacations to Martha's Vineyard and
other locales. *See e.g., CNN Politics, Jesse Jackson Jr., wife plead guilty to charges*
involving campaign funds (February 21, 2013).

1 Significantly, such thefts by their nature can be seen as more aggravated as they involve
2 the direct theft of taxpayer funds, not campaign donations. Nevertheless, they do provide
3 some guidance. One of the leading cases in this category would be the prosecution of
4 Congressman Dan Rostenkowski, the Chair of the House Ways and Means Committee.
5 Rostenkowski was caught up in the Congressional Post Office scandal, which discovered
6 a conspiracy among various Congressional Post Office employees and members of the
7 House of Representatives to launder Post Office money through stamps and postal
8 vouchers.

9 In 1994, Rostenkowski was charged in a multi-count indictment with, among other
10 things, stealing thousands of dollars from the House Post Office (trading in official stamps
11 for cash), charging hand-painted chairs and scores of other personal gifts at the House
12 stationery store, and using government money to pay for vehicles for personal
13 transportation. In all, he was accused of defrauding the government of approximately
14 \$25,000 per year for many years. In 1996, Rostenkowski pled guilty to two charges of
15 mail fraud and was sentenced to a 17-month prison term. *See The New York Times,*
16 *Rostenkowski Pleads Guilty to Mail Fraud* (April 10, 1996).

17 Congressman Joseph Kolter was also caught up in the House Post Office scandal.
18 In 1994, Kolter was charged with conspiring with the House postmaster to convert \$11,000
19 in official stamps for his personal use, and embezzling taxpayers' funds to purchase more
20 than \$33,000 worth of merchandise (including china, luggage and jewelry) over several
21 years from the House Stationery Store. After pleading guilty to a single conspiracy count
22 involving relatively little money, Kolter received a six month custodial sentence. *See e.g.,*
23 *The Washington Post, Ex-Congressman Kolter Indicted In The House Post Office Probe*
24 *(October 19, 1994).*

25 3. Theft of Taxpayer Funds by Congressional Staff

26 In 2016, David Bower (the former Chief of Staff to Congressman Paul Broun) was
27 convicted of three counts of making false statements, one count of obstruction of
28 proceedings, and one count of concealment of material facts in relation to the theft of

1 approximately \$43,000 in Congressional funds for use in Broun's congressional campaign.
2 Bowser's guideline range was 0-6 months, and he received a 4 month custodial term of
3 imprisonment (along with 24 months supervised release, and 2 months' further home
4 confinement). *See e.g., The Atlanta Journal-Constitution, Ex-top aide to Paul Broun guilty*
5 *of obstructing congressional probe* (March 23, 2018).

6 One final somewhat analogous case involves Ngozi Pole, who was Senator Ted
7 Kennedy's office manager. In 2012, Pole was convicted following trial and received a 20
8 month prison term for stealing \$77,608 in taxpayer funds. Pole accomplished his theft by
9 repeatedly submitting paperwork causing the Senate to pay him larger bonus payments
10 than had been approved by Kennedy's Senatorial Office. Pole hid the existence of these
11 unauthorized payments by transmitting information to Kennedy's Chief of Staff that falsely
12 showed only his authorized payments. *See e.g., The Digital Journal, Former Ted Kennedy*
13 *staffer gets 20 months for embezzlement* (April 1, 2012).

14 4. Comparison of Similarly Situated Offenders

15 As previously noted, Jesse Jackson, Jr. committed almost the exact same crime as
16 Hunter in almost the exact same way. As such, his 30-month sentence serves as the basic
17 lodestone for applying a *Booker* comparison to ensure that Hunter's calculated guideline
18 range would not be in conflict with the goals of our sentencing scheme.
19 As noted previously, this comparison would suggest that Hunter be sentenced to less than
20 the 30 months that Jackson received.

21 As a simple mathematical principle, a sentence less than 30 months would be in
22 accord with the greater total amount stolen by Jackson (\$750,000). On the other hand,
23 Hunter's theft continued for a significantly longer period of time. It was undertaken despite
24 the repeated and consistent warnings of his campaign staff. And, the rate of his theft
25 increased exponentially over time, exposing the campaign to far larger losses – prevented
26 only by the FEC's April 2016 public inquiry and the resulting media scrutiny exposing
27 Hunter's possible campaign fraud. *See e.g., The San Diego Union-Tribune, FEC questions*
28 *Duncan Hunter's video game charges* (April 5, 2016).

1 The other relevant sentencing data points are similarly in line with the United States’
2 recommendation here. Bower’s theft of approximately \$43,000 and Kolter’s theft of
3 approximately \$44,000 resulted in sentences of 4 and 6 months, respectively. Given the
4 small nature of these thefts it could be argued that Hunter’s sentencing range is a bit low.
5 However, as noted, these cases involved the direct theft of taxpayer funds. Similarly,
6 Pole’s sentence of 20 months (for approximately \$77,000 in stolen funds) is inapposite as
7 it involved not only the theft of taxpayer funds, but followed his conviction by a jury and
8 not a guilty plea. Finally, while Rostenkowski received 17 months in custody (for
9 approximately \$500,000 in stolen funds) the theft occurred over more than 20 years and
10 the practice of trading official stamps for cash was reputedly a somewhat widespread—
11 although clearly improper—practice.

12 C. Government’s Sentencing Recommendation

13 The United States submits that after applying the sentencing factors set forth in
14 Section 3553(a) and examining the other relevant cases, a sentence at the top of the post-
15 departures Guidelines range is warranted in this case.

16 1. The Need to Afford Adequate Deterrence

17 The need to afford adequate deterrence weighs heavily in favor of a sentence at the
18 top of the post-departures Guidelines range. The legislative history of Section 3553
19 demonstrates that “Congress viewed deterrence as ‘particularly important in the area of
20 white collar crime.’” *United States v. Martin*, 455 F.3d 1227, 1240 (11th Cir. 2006) (citing
21 S. Rep. No. 98-225, at 76 (1983), reprinted in 1984 U.S.C.C.A.N. 382, 3259); *see also*
22 *United States v. Treadwell*, 593 F.3d 990, 1012 (9th Cir. 2010) (deterrence of white-collar
23 crime is “of central concern to Congress”); *United States v. Heffernan*, 43 F.3d 1144, 1149
24 (7th Cir. 1994) (Posner, J.) (“Considerations of (general) deterrence argue for punishing
25 more heavily those offenses that either are lucrative or are difficult to detect and punish,
26 since both attributes go to increase the expedited benefits of a crime and hence the
27 punishment required to deter it.”).

1 As the *Martin* Court noted: “Because economic and fraud-based crimes are more
2 rational, cool, and calculated than sudden crimes of passion or opportunity, these crimes
3 are prime candidates for general deterrence.” *Martin*, 455 F.3d at 1240 (internal quotation
4 marks and citation omitted). In this regard, the imposition of significant sentences can
5 deter other elected officials or staff who might otherwise tend to think that campaign
6 finance fraud is “a game worth playing.” See *United States v. Gupta*, 904 F. Supp. 2d 349,
7 355 (S.D.N.Y. 2012) (when dealing with white collar crimes that are easy to commit but
8 difficult to catch, others “similarly situated to the defendant must therefore be made to
9 understand that when you get caught, you will go to jail.”).

10 a. Crimes Involving the Electoral Process

11 The need for general deterrence is particularly acute here – as the type of white collar
12 crime at issue involves our electoral process. As all citizens learn in primary school, the
13 electoral system is the prime cornerstone of our democracy that translates the will of the
14 people into a government that serves rather than oppresses. Through elections our
15 government is held accountable to the people and political conflicts are channeled into
16 peaceful resolutions. And, it is through elections that power is attained and transferred.
17 When this process is corrupted or debased in any manner, democracy is jeopardized.

18 To promote the integrity of our electoral process, Congress enacted a series of rules
19 that govern campaign fundraising. These campaign finance rules (which prohibit the use
20 of campaign funds for personal use) are structured to ensure accountability and
21 transparency throughout the electoral process. See *generally* 52 U.S.C. § 30114. The
22 “personal use” restriction serves the vital interest of limiting the disproportionate influence
23 of wealthy individuals and special interest groups on the outcome of federal elections, and
24 prevents donors from exercising undue influence over candidates and federal officeholders.
25 Transparency in campaign financing is a major pillar in ensuring the integrity of our
26 democratic election process.

1 The egregious nature of Hunter's campaign finance violations therefore directly
2 impact our electoral system and our democratic system of government.⁴⁶ Consequently, it
3 is vitally important to dissuade potential offenders from engaging in similar conduct. Our
4 country's electoral system has, in the past, been held up as a model for democratic societies.
5 Past success, however, does not guarantee that our electoral system is immune from assault
6 from corrupt politicians. In order to ensure that democracy does not slide into tyranny, it
7 is essential that politicians who commit crimes similar to Hunter's recognize that they will
8 be held accountable for their wrongdoing. *See generally* Plato's *The Republic*. Book VII,
9 New York: Books, Inc. (1943) (discussing the possibility of democracy degenerating into
10 tyranny).

11 By imposing a custodial term at the high end of the adjusted guideline range, this
12 Court can ensure that other politicians who are tempted to convert campaign funds will be
13 deterred, in part, by the almost certain jail term that awaits at the end of that path. In this
14 manner, Hunter—like Jesse Jackson, Jr. before him—becomes a cautionary tale
15 highlighting the downside of this type of criminal activity. Although one would have
16 hoped that Jackson's custodial term would have been sufficient to deter others, the fact that
17 Hunter continued to illegally convert campaign funds at the very time Jackson was
18 sentenced demonstrates the importance of this Court reminding other politicians of the
19 heavy cost this type of crime will carry.

20 b. Difficulty of Detection

21 Although one might assume that most politicians would be deterred from
22 committing campaign finance fraud by the consequent damage to their reputation and loss
23 of their office (entirely apart from any custodial term), this measure of deterrence only
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25 ⁴⁶ The campaign finance regulations explicitly prohibit spending campaign funds on,
26 among other enumerated examples, utilities, clothing, personal vacations, household food
27 items, school tuition, and entertainment not associated with the candidate's election
28 campaign. Displaying flagrant disregard for these clear and uncontroversial rules, Hunter
used his campaign funds for each and every one of these prohibited uses. *See* 52 U.S.C. §
30114(b)(2) and 11 C.F.R. § 113.1(g).

works if they perceive a likelihood of apprehension. In this regard, a lengthy custodial term is necessary to promote general deterrence due to the great difficulty of detecting and prosecuting this type of criminal conduct. Unfortunately, only the threat of a significant custodial sanction may persuade wavering future politicians to forego the relatively small risk that they will actually be apprehended for campaign finance fraud.

Indeed, the fact that Jackson and Hunter are the only recent known cases in which congressmen embezzled campaign funds for their personal use may be far more attributable to the difficulty of detecting the crime than its infrequency. Although the FEC rules, when rigorously followed, require the public disclosure of all expenditures totaling more than \$200 (in aggregate) during any two-year election cycle, the disclosures on their face leave a veritable universe of possibilities for the corrupt politician seeking to conceal his illegal activity.

For example, Hunter's \$669.07 expenditure at the Hotel del Coronado in 2016 on its face appears perfectly acceptable. There is nothing to alert the public, the FEC, or law enforcement that the funds weren't expended at a legitimate campaign fund raiser, political gathering, or other legitimate event. The criminal nature of the expenditure becomes apparent only as a result of information painstakingly obtained from: (i) federal search warrants obtained on the Hunters' social media accounts (*e.g.*, Facebook and Instagram), cell phones, computers, and calendars; (ii) grand jury subpoenas issued to the Hotel del Coronado for records; (iii) FBI interviews conducted of dozens of witnesses; and (iv) grand jury testimony that confirmed relevant information. This type of information is obviously not available to individuals outside of law enforcement and is available to law enforcement officials only after they have received sufficient information suggesting that an investigation of a public official is, in fact, warranted.⁴⁷

⁴⁷ A similar analysis applies to most charges at retail stores (such as Office Depot, Best Buy, or Target), restaurants, and while traveling. All of these categories on their face would normally be assumed to be perfectly legitimate. As a result, spending in these areas—which is exhibited by virtually every single representative—is simply not worthy of particular note.

1 Further complicating detection of illegal campaign spending is the plain fact of their
2 volume. Using Hunter’s FEC filing as an example, during the last quarter of 2015 alone,
3 his campaign had total disbursements of \$123,180.93. A review of his itemized
4 disbursements reveal that they cover 127 separate pages and amount to almost 500 separate
5 entries. *See* Hunter FEC Form 3 (January 31, 2016). An illegal charge amounting to an
6 improper expenditure is a needle in an FEC haystack. Given this background, it is the
7 simple truth that Hunter was brought to justice only by a bit of luck, a professional FEC
8 staffer, a diligent reporter, and an extremely thorough criminal investigation.

9 **A bit of luck.** Hunter’s FEC problems began not because the public, the media, or
10 the FEC examined his disclosures and detected potential improprieties through a rigorous
11 examination of the hundreds of charges. To the contrary, they were brought to light only
12 because his campaign treasurer was unsure of several charges (\$1,302 in charges to Steam
13 Games and a \$1,650 disbursement to Christian Unified Schools) and, not having received
14 a response from Margaret in time, listed them as “personal expense—to be paid back.”
15 Without this admission, it is likely that the improper campaign spending (that had been
16 ongoing for more than six years) would have simply continued.

17 **The FEC.** Fortunately, the campaign treasurer’s admission regarding the “personal”
18 nature of these expenditures did not go unnoticed by the FEC reviewers. After seeing these
19 entries on various 2015 final quarterly disbursements, the FEC sent a letter to the Hunter
20 Committee’s Treasurer asking for clarification about the \$1,650 disbursement to Christian
21 Unified Schools (which it could not have known was in fact the Hunter children’s private
22 school) and the \$1,302 to online video game company Steam Games. In response, Hunter
23 noted that the charges were self-disclosed, would be paid back, and were a simple mistake.

24 **The Media.** It is probable that the FEC letter to Hunter would have only resulted
25 in his paying back the two admitted categories of payment, except for the fact that the FEC
26 letter was noticed and followed up on by enterprising reporters who began sifting through
27 years of the Hunter campaign’s publicly-filed FEC reports in search of other questionable
28 expenditures. Eventually, Citizens for Responsibility and Ethics in Washington

1 (“CREW”) filed an ethics complaint requesting that Hunter’s filings be audited by the FEC.
2 *See* CREW Press Release (April 28, 2016).

3 **The Department of Justice.** The United States Attorney’s Office for the Southern
4 District of California contacted the local FBI Office about opening an investigation into
5 Hunter’s potential campaign expenditures only after the matter had attracted national
6 attention due to the avalanche of news articles and CREW’s referral. Based upon the
7 information unearthed in these articles and additional background work done thereafter by
8 the FBI, the United States opened the case after it was determined that sufficient
9 “predication” existed to warrant an investigation.⁴⁸

10 Once the investigation was opened, it took months and months of work by multiple
11 FBI agents to first compile a database able to track more than 11,000 campaign
12 expenditures and then obtain and analyze more than 13 terabytes of data obtained through
13 search warrants executed, among other places, on 75 different electronic devices. It is an
14 understatement to note that prosecuting these types of offenses is exceedingly difficult,
15 time-consuming, and resource-intensive.

16 Due to the all the above, it is necessary that the Court impose a significant custodial
17 sentence. The relative simplicity of committing the crime combined with the challenge of
18 detecting and investigating these offenses would otherwise incentivize elected officials
19 similarly situated to engage in similar conduct. The very circumstances of Hunter’s
20 participation illustrate the difficulty of detecting the crime and the importance of having a
21 strong deterrent counterweight.

22 2. The Need to Provide Just Punishment for the Offense

23 Hunter may seek leniency based on his fall from the heights of social status and
24 financial privilege, the loss of his elected office, the various collateral consequences of his
25 imprisonment, and a host of other such outcomes. Congress, through the Guidelines,
26

27 ⁴⁸ Pursuant to Justice Department Guidelines, investigations into elected officials
28 are opened only after it is first determined that there is a sufficient articulable factual basis
to warrant such an investigation.

1 however, has pointedly addressed and rejected factors both individually and cumulatively
2 in the form of “I’ve been punished enough” from privileged white collar criminals who
3 bemoan the collateral consequences of a Guidelines sentence, while implicitly dooming
4 the less privileged and less fortunate to suffer greater punishments. 28 U.S.C. § 994(d)
5 (“The Commission shall assure that the guidelines and policy statements are entirely
6 neutral as to . . . socioeconomic status of offenders.”); U.S.S.G. § 5H1.2 (vocational skills
7 and education not ordinarily relevant); U.S.S.G. § 5H1.5 (employment record not
8 ordinarily relevant); U.S.S.G. § 5H1.6 (family ties and responsibilities not ordinarily
9 relevant); U.S.S.G. §5H1.10 (socioeconomic status of defendant not relevant).

10 The federal courts have repeatedly agreed. *United States v. Morgan*, 635 Fed. Appx.
11 423 (10th Cir. 2015) (reversing defendant’s probationary sentence for bribery and agreeing
12 “with the reasoning of the Sixth, Seventh, and Eleventh Circuits [that b]y considering
13 publicity, loss of law license, and deterioration of physical and financial health as
14 punishment, the court impermissibly focused on the collateral consequences [and favored
15 criminals] with privileged backgrounds”); *United States v. Musgrave*, 761 F.3d 602,
16 608-09 (6th Cir. 2014) (“Impermissible considerations permeated the district court’s
17 justification for Musgrave’s sentence. In imposing a sentence of one day..., the district
18 court relied heavily on the fact that Musgrave had already ‘been punished extraordinarily’
19 by four years of legal proceedings, legal fees, the likely loss of his CPA license, and felony
20 convictions that would follow him for the rest of his life.”); *United States v. Kuhlman*, 711
21 F.3d 1321, 1329 (11th Cir. 2013) (vacating sentence of white collar criminal, stating, “The
22 Sentencing Guidelines authorize no special sentencing discounts on account of economic
23 or social status . . . unavailable to defendants of lesser means”); *United States v. Peppel*,
24 707 F.3d 627, 636 (6th Cir. 2013) (holding district court inappropriately considered
25 collateral consequences for white collar defendant, noting longstanding precedent that to
26 do so “would tend to support shorter sentences in cases with defendants from privileged
27 backgrounds, who might have more to lose along these lines”); *United States v. Prosperi*,
28 686 F.3d 32, 47 (1st Cir. 2012) (“[I]t is impermissible for a court to impose a lighter

1 sentence on white-collar defendants than on blue-collar defendants because it reasons that
2 white collar offenders suffer greater reputational harm or have more to lose by
3 conviction.”).

4 This Court must similarly reject Hunter’s contentions in this regard. A 14 month
5 sentence in this case will serve as much needed general deterrence to others contemplating
6 like crimes in any local, state or federal election, and consequently promote respect for
7 America’s laws and its electoral system. *See Morgan*, 635 F. App’x at 450 (emphasizing
8 “[d]eterrence is a crucial factor in sentencing decisions for economic and public corruption
9 crimes”). General deterrence, of course, weighs the heaviest in favor of imposing a
10 stringent sentence of imprisonment where, as here, the crime of conviction has an element
11 of elevated intent. Conversely, a departure below the recommended sentence under these
12 circumstances will further encourage our elected officials to engage in corrupt campaign
13 finance fraud schemes, after weighing the low risk of detection and the likelihood of a
14 lenient sentence if they are caught. *Id.* at 450 (“General deterrence comes from a
15 probability of conviction and significant consequences”).

16 3. The Need to Promote Respect for the Law

17 It is an essential component of our system of justice that every individual accused of
18 a crime has an absolute right to a defense. This right is sacrosanct; its fundamental nature
19 enshrined in this nation’s founding documents. *See e.g.*, U. S. Constitution, Amendments
20 IV, V, VI, VIII, and XIV. Certainly, the right to defend oneself is unassailable in our
21 system and justifiably comprises one of the jewels in the crown of our democracy.

22 On the other hand, Hunter’s tactics in the present case—particularly while
23 campaigning for re-election—went far over any permissible limit. As previously noted,
24 rather than simply mounting a vigorous defense, Hunter launched an improper, wide-
25 ranging, and dangerous assault on our system of justice. As part of a disingenuous attempt
26 to deflect attention from his own malversation, Hunter falsely claimed that it was not he,
27 but the Department of Justice that was corrupt. *See KPBS, News Interview* (August 22,
28 2018) (“This is the Department of Justice that we’re watching [] lie...show their

1 corruption...the Department of Justice right now, unfortunately, is more political than
2 politicians are”).

3 In order to evade his own guilt, Hunter repeatedly attacked our law enforcement
4 system with a multitude of base and inflammatory accusations. These wanton attacks were
5 aimed at our very system of government, including Congress, the FBI, the Department of
6 Justice, the justice system in general, and individual federal prosecutors in particular. *See*
7 *e.g.*, Mark Larson *Radio Interview* (January 9, 2018) (“the local Department of Justice is
8 being run by The Union-Tribune and, and local folks here with no oversight); Fox 5 San
9 Diego *Interview* (August 21, 2018) (“This is the political late hit . . . they’re hoping that
10 this charge itself takes [t]his Republican seat and moves it to their column - the Democrat
11 column. It’s a political late hit”); Channel 10 News *Interview* (August 22, 2018) (“This is
12 modern politics and modern media, mixed in with law enforcement that has a political
13 agenda . . . That’s the new Department of-of Justice [the] Democrats’ arm of law
14 enforcement.”); Hunter Campaign Press Statement (August 22, 2018) (“The fact is there is
15 a culture operating within our Justice Department that is politically motivated. It’s a sad
16 state of affairs when those entrusted with upholding the law have no appreciation for
17 following the rule of law.”); Times of San Diego, *Ramona Town Hall Meeting* (May 25,
18 2019) (describing justice system as abusive and arguing that Justice Department doesn’t
19 care about justice).

20 In news interview after news interview, Hunter concocted a truly paranoid “deep
21 state” conspiracy theory in which he claimed that his prosecution was the product of the
22 same “silent coup of government officials in the FBI and the Department of Justice [that
23 was] trying to delegitimize President Trump’s election.” According to this dangerously
24 false narrative, Hunter’s prosecution was the result of a secret conspiracy in the United
25 States Department of Justice that “saw this as an opportunity to beat [him] and put a
26 Socialist Democrat in the seat.” He continued his mendacious public attacks by suggesting
27 that his indictment was “a political hatchet job” by the Department of Justice “to get a
28

Democrat elected in a hard, red, Republican seat.” *See e.g.*, KUSI News Interview (August 23, 2018).⁴⁹

Although it might be tempting for the Court to simply dismiss Hunter’s claims of a deep state conspiracy as the rantings of a desperate politician caught in his own web of lies, these dangerous allegations should not be ignored or overlooked. As previously observed, rather than admit his guilt and resign his when originally questioned or charged, Hunter chose to use his “deep state” conspiracy trope to mislead the residents of the 50th congressional district. As we now know, Hunter lied to the people about his guilt. In doing so, he used his dangerous conspiracy theory to steal an election by lying about his stealing of campaign funds.

As a result of his duplicity, the voters were robbed of their right to representation in Congress—representation that they are denied to this day. This, in and of itself, suggests the propriety of a sentence at the top of the adjusted guideline range. This Court’s sentence must make it clear that choosing to provide an affirmatively false narrative to the voters in order to get re-elected is unacceptable. A price must be exacted when our elected representatives seek to cover up corruption by hiding behind lies.

Hunter’s wild accusations of a deep state conspiracy, fake news, and a politically motivated witch hunt have other real world consequences. When Hunter attacks a legitimate prosecution as being fake news, he adds his powerful voice to the chorus who wish to diminish the effect of actual facts (and the legitimacy of our governmental institutions) in order to dismiss truths that prove inconvenient to their cause. This is dangerous. A system that is willing to abandon facts must also be willing to abandon justice.

⁴⁹ Arguing that the present case is the product of a “partisan, biased Department of Justice [that are also] doing it to Trump...what I would call the deep state...folks in the U.S. Government ...that want to rig the elections [you had] Stroz, you had McCabe, you have Mueller, you have Comey, you have a culture of corruption [the] number one enemy right now is the U.S. Congress.”).

1 Our very democracy is at risk when criminals like Hunter win elections by
2 weaponizing the tropes of fake news and the deep state. This is not a mere philosophical
3 debate in the 50th Congressional district; it is a fact. Hunter’s false narrative about being
4 an innocent politician framed by a deep state Justice Department did, in fact, sway his 2018
5 re-election to Congress.⁵⁰ There should be consequences. This Court should ensure that
6 there are consequences.

7 IV.

8 CRIMINAL FINE

9 The Probation Officer’s analysis of Hunter’s financial situation makes it clear that
10 he is presently unable to pay a fine. See PSR at ¶¶ 122-129. Accordingly, it recommends
11 that the Court impose no fine in Hunter’s case. *See* USSG § 5E1.2(a) (the Court need not
12 impose a fine if the defendant establishes that he is unable to pay and not likely to become
13 able to pay). It is unclear, however, whether Hunter will become able to pay a fine. As
14 noted in the PSR, Hunter has been hired to work with Worldwide Aeros Corp, a
15 manufacturer of airships based in Montebello, California. Depending on his salary and
16 future opportunities, a fine may be warranted. Without other information, the United States
17 takes no position on whether the Court should impose a fine.

18 V.

19 CONCLUSION

20 In committing campaign finance fraud, lying to the public to cover it up, and in
21 continuing to actively serve in the House of Representatives, Hunter came to embody the
22 cynical idea that politicians who make the laws are not required to follow them. This surely
23

24 ⁵⁰ Surprisingly, the manner in which Hunter (and his surrogates) lied to the public
25 in this case suggests that he did not view it as a particularly weighty step to take. He told
26 not one lie during his public statements and campaign stops, but hundreds. He amplified
27 his lies with fake details and coordinated these lies with his Chief of Staff—so that he, too,
28 could lie. And, as has been widely observed, Hunter’s public (and private) statements
throwing his wife and family “under the bus” to gain political advantage were truly
reprehensible.

1 was not lost on him, yet he did not hesitate in stealing campaign funds for years while
2 holding one of the most visible and prestigious jobs in the United States. The sentence
3 imposed on Hunter must drive home the message that a person's status does not constitute
4 a basis for leniency. Hunter's decision to break the law while making the law – a decision
5 that he made repeatedly over eight years – was brazen. Hunter must now be held to account
6 to assure the public that those in power do not stand above the law.

7 The cynicism of Hunter's conduct – his decision to repeatedly violate federal law
8 while continuing to accept the trust of the public to draft it – is exacerbated by its total
9 gratuitousness.⁵¹ Hunter committed a financial crime simply because he wished to live a
10 lifestyle above his means. Hunter's substantial congressional salary, the tens of thousands
11 of dollars he was paying his wife with campaign funds, and the substantial gifts from his
12 parents all rendered the crime unnecessary. *See United States v. Miell*, 744 F. Supp. 2d
13 904, 955 (N.D. Iowa 2010) (“A crime of fraud by one who already has more than enough—
14 and who cannot argue that he suffered a deprived or abusive childhood or the compulsion
15 of an expensive addiction—is simply a crime of greed. A crime of fraud by one who is
16 otherwise successful, apparently by legitimate means, is ... particularly disturbing.”), *aff'd*,
17 661 F.3d 995 (8th Cir. 2011).

18 The United States respectfully recommends that the Court sentence Duncan D.
19 Hunter to a period of incarceration of 14 months.

20 DATED: March 10, 2020

Respectfully submitted,

21 DAVID LESHNER
22 Attorney for the United States
23 Acting Under 28 U.S.C. § 515

24 /s/ Phillip L.B. Halpern
25 EMILY W. ALLEN
26 W. MARK CONOVER I

27 ⁵¹ As a member of Congress, Hunter was better situated than almost anyone else to
28 understand the societal importance of following the law. *See* PSR at ¶¶ 112-114 (recounting
Hunter's role in drafting legislation).

PHILIP L.B. HALPERN
Assistant U.S. Attorneys

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